



**AFRICAN ALLIANCE**  
INSURANCE PLC

## **MANAGEMENT ACCOUNT**

**FOR THE PERIOD ENDED 31 MARCH 2024**

## RESULTS AT A GLANCE FOR THE PERIOD ENDED 31 MARCH 2024

## Profit/(Loss) after tax

## Asset Cover

## RETURN ON EQUITY

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**AFRICAN ALLIANCE INSURANCE PLC**  
**STATEMENT OF FINANCIAL POSITION**

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|                                                  |     | Note         | Company            |                    |
|--------------------------------------------------|-----|--------------|--------------------|--------------------|
|                                                  |     |              | ACTUAL             | ACTUAL             |
|                                                  |     |              | 31-Mar-24<br>N'000 | 31-Dec-23<br>N'000 |
| ASSETS                                           |     |              |                    |                    |
| Cash and cash equivalents                        | 6   | 434,773      | 787,831            |                    |
| Financial assets                                 | 7   |              |                    |                    |
| '-fair value through profit or loss-equities     |     | 96,370       | 270,453            |                    |
| '-fair value through profit or loss-bonds        |     | 1,901,191    | 3,058,136          |                    |
| '- fair value through Other comprehensive income |     | 29,846,418   | 29,846,418         |                    |
| '- Amortised cost                                |     | 62,782       | 62,782             |                    |
| Trade receivables                                | 8   | -            | -                  |                    |
| Reinsurance assets                               | 9   | 104,553      | 104,553            |                    |
| Other receivables and prepayments                | 10  | 643,788      | 604,213            |                    |
| Investment properties                            | 11  | 12,734,000   | 12,734,000         |                    |
| Investment in subsidiary                         | 12  | 105,000      | 105,000            |                    |
| Investment in Associate                          | 13  | -            | -                  |                    |
| Retirement benefit assets                        | 22  | -            | -                  |                    |
| Deferred Tax Asset                               | 25b | 146,476      | 146,476            |                    |
| Intangible assets                                | 14  | 29,596       | 32,785             |                    |
| Property plant and equipment                     | 15  | 650,574      | 684,776            |                    |
| Right of Use Assets                              | 16  | 103,998      | 123,950            |                    |
| Statutory deposit                                | 17  | 200,000      | 200,000            |                    |
| Total assets                                     |     | 47,059,519   | 48,761,374         |                    |
| LIABILITIES                                      |     |              |                    |                    |
| Insurance contract liabilities                   | 18  | 36,312,428   | 40,849,131         |                    |
| Investment contract liabilities                  | 19  | 2,538,105    | 2,919,135          |                    |
| Trade payable                                    | 20  | 2,110,364    | 1,649,987          |                    |
| Other payables and accruals                      | 21  | 650,651      | 611,550            |                    |
| Employee benefit liabilities                     | 22i | 9,041        | 48,325             |                    |
| Borrowings                                       | 23  | -            | 0                  |                    |
| Tax payable                                      | 24  | 566,275      | 561,865            |                    |
| Deferred tax liability                           | 25  | 99,993       | 92,107             |                    |
| Total liabilities                                |     | 42,286,857   | 46,732,099         |                    |
| EQUITY                                           |     |              |                    |                    |
| Share capital                                    | 26  | 10,292,500   | 10,292,500         |                    |
| Share premium                                    | 26  | 14,365,133   | 14,365,133         |                    |
| Contingency reserves                             | 27  | 2,258,658    | 1,983,878          |                    |
| Retained earnings                                | 28  | (37,542,012) | (40,010,618)       |                    |
| Fair value reserves                              | 29  | 15,398,382   | 15,398,382         |                    |
| Total equity                                     |     | 4,772,662    | 2,029,275          |                    |
| Total equities and liabilities                   |     | 47,059,519   | 48,761,375         |                    |

Akinode Raji  
Chief Financial Officer

15/05/24

Joyce Ojemudia  
MD/CEO

**AFRICAN ALLIANCE INSURANCE PLC**
**STATEMENT OF COMPREHENSIVE INCOME  
FOR THE PERIOD ENDED 31 MARCH 2024**

|                                                                           | Note | Company          |                    | VARIANCE         |              |
|---------------------------------------------------------------------------|------|------------------|--------------------|------------------|--------------|
|                                                                           |      | ACTUAL           | ACTUAL             |                  |              |
|                                                                           |      | 31-Mar-24        | 31-Mar-23          |                  |              |
|                                                                           |      | N'000            | N'000              | N'000            |              |
| Gross premium written                                                     | 30   | 1,450,894        | 1,876,546          | (425,652)        | -23%         |
| Unearned premium                                                          |      | 101,666          | (5,919)            | 107,585          | -1818%       |
| <b>Gross premium income</b>                                               |      | <b>1,552,561</b> | <b>1,870,627</b>   | <b>(318,066)</b> | <b>-17%</b>  |
| Insurance premium ceded to reinsurers                                     | 31   | (97,506)         | (66,302)           | (31,204)         | 47%          |
| <b>Net premium income</b>                                                 |      | <b>1,455,055</b> | <b>1,804,325</b>   | <b>(349,270)</b> | <b>-19%</b>  |
| Fees and commission income                                                | 32   | -                | 19,138             | (19,138)         | -100%        |
| <b>Net underwriting income</b>                                            |      | <b>1,455,055</b> | <b>1,823,463</b>   | <b>(368,408)</b> | <b>-20%</b>  |
| Insurance claims incurred and loss adjustments                            | 33   | 142,299          | (1,233,957)        | 1,376,256        | ####         |
| Insurance claims incurred recovered from                                  |      | -                | -                  | -                |              |
| Underwriting expenses                                                     | 34   | (139,731)        | (377,896)          | 238,165          | -63%         |
| Changes in long term insurance contracts                                  | 35   | 2,703,866        | (1,204,959)        | 3,908,825        | -324%        |
| <b>Net underwriting expenses</b>                                          |      | <b>2,706,433</b> | <b>(2,816,812)</b> | <b>5,523,245</b> | <b>-196%</b> |
| <b>Net underwriting profit</b>                                            |      | <b>4,161,489</b> | <b>(993,349)</b>   | <b>5,154,838</b> | <b>-519%</b> |
| Other income                                                              | 36   | 186,148          | 39,933             | 146,215          | 366%         |
| Impairment charges                                                        |      | -                | -                  | -                | #DIV/0!      |
| Fair value gain/(loss) on investment properties                           |      | -                | -                  | -                |              |
| Fair value (gain)/loss (FVTPL)                                            | 37   | (482,865)        | (336,120)          | (146,745)        | 44%          |
| Investment income                                                         | 38   | (600,965)        | 145,137            | (746,102)        | -514%        |
| Profit/(Loss) from investment contracts                                   |      | (22,688)         | (62,165)           | 39,477           | -64%         |
| Share of profit of equity accounted investee                              |      | -                | -                  | -                | #DIV/0!      |
| Employee benefit expenses                                                 | 41   | (186,641)        | (206,570)          | 19,929           | -10%         |
| Other operating and administrative expenses                               | 42   | (309,676)        | (314,022)          | 4,346            | -1%          |
| Impairment loss Allowance (ECL)                                           | 43   | 2,995            | 16,820             | (13,825)         | 0%           |
| Finance cost                                                              | 44   | -                | -                  | -                | #DIV/0!      |
| <b>Profit/(Loss) before tax</b>                                           |      | <b>2,747,796</b> | <b>(1,710,336)</b> | <b>4,458,132</b> | <b>-261%</b> |
| Income tax expense                                                        | 45   | (4,410)          | (8,637)            | 4,227            | -49%         |
| <b>Profit/(Loss) for the year</b>                                         |      | <b>2,743,386</b> | <b>(1,718,973)</b> | <b>4,462,359</b> | <b>-260%</b> |
| <b>Profit/(Loss) attributable to:</b>                                     |      |                  |                    |                  |              |
| - Owners of the parent                                                    |      |                  |                    |                  |              |
| - Non-controlling interests                                               |      |                  |                    |                  |              |
| <b>Other comprehensive income</b>                                         |      |                  |                    |                  |              |
| <i>Items that may be subsequently reclassified to profit or loss</i>      |      |                  |                    |                  |              |
|                                                                           |      |                  |                    |                  |              |
| Foreign exchange translation gain/(loss)                                  |      |                  |                    |                  |              |
|                                                                           |      |                  |                    |                  |              |
| <b>Items that will not be subsequently reclassified to profit or loss</b> |      |                  |                    |                  |              |
| Gain on revaluation of property, plant and equipment (net of taxes)       |      | -                | -                  | -                |              |
| Additional reserve on sale and reacquisition of investment in associate   |      | -                | -                  | -                |              |
| Change in value of unquoted equities FVOCI (net of taxes)                 |      | -                | -                  | -                |              |
|                                                                           |      |                  |                    |                  |              |
|                                                                           |      |                  |                    |                  |              |
| <b>Other comprehensive income for the year</b>                            |      | <b>-</b>         | <b>-</b>           | <b>-</b>         |              |
| <b>Total comprehensive income for the year</b>                            |      | <b>2,743,386</b> | <b>(1,718,973)</b> | <b>4,462,359</b> | <b>-260%</b> |
| <b>Total comprehensive income attributable to:</b>                        |      |                  |                    |                  |              |
| - Owners of the parent                                                    |      | 2,743,386        | (1,718,973)        | 4,462,359        | -260%        |
| - Non-controlling interests                                               |      |                  |                    |                  |              |
|                                                                           |      | 2,743,386        | (1,718,973)        | 4,462,359        | -260%        |

AFRICAN ALLIANCE INSURANCE PLC

STATEMENT OF CASH FLOWS  
FOR THE PERIOD ENDED 31 MARCH 2024

|                                                           | Company            |                    |
|-----------------------------------------------------------|--------------------|--------------------|
|                                                           | 31-Mar-24<br>N'000 | 31-Dec-23<br>N'000 |
| <b>Cash flows from operating activities</b>               |                    |                    |
| Cash premium received                                     | 1,843,448          | 6,638,505          |
| Premium received yet to be allocated                      | 392,554            | -                  |
| Cash received from deposit contract liabilities           | 672,867            | 654,546            |
| Cash withdrawals from deposit contract liabilities        | (1,076,587)        | (55,411)           |
| Cash Claims recovered                                     | -                  | 131,561            |
| Dividend received                                         | -                  | 14,809             |
| Claims paid                                               | (1,588,872)        | (9,475,989)        |
| Cash paid to reinsurers/ coinsurers                       | (97,506)           | (384,703)          |
| Commission received                                       | -                  | 62,570             |
| Maintenance expenses paid                                 | (52,271)           | (649,356)          |
| Acquisition costs                                         | (87,460)           | (614,081)          |
| Employee benefits paid                                    | (186,641)          | (953,791)          |
| Other operating expenses paid                             | (247,812)          | (866,573)          |
| Other income received                                     | 17,241             | 106,761            |
| Interest received                                         | (600,965)          | 974,906            |
| Income tax paid                                           | -                  | (30,000)           |
| <b>Net cash from operating activities</b>                 | <b>(1,012,004)</b> | <b>(4,446,246)</b> |
| <b>Cash flow from investing activities:</b>               |                    |                    |
| Purchases of plant and equipment                          | (13,049)           | (50,595)           |
| Purchase of intangible assets                             | -                  | (18,857)           |
| Capital Improvement of investment properties              | -                  | -                  |
| Proceeds from disposal of property and equipment          | -                  | 930                |
| Proceeds from disposal of investment in associate company | 0                  | -                  |
| Capital injection made to subsidiary                      | -                  | -                  |
| Proceeds from disposal of investments-equities FVTPL      | -                  | -                  |
| Purchase of financial assets- Bonds FVTPL                 | -                  | (935,352)          |
| Purchase of financial assets - Amortised cost             | -                  | -                  |
| Redemption of financial assets - Bonds                    | -                  | 5,292,496          |
| Redemption of financial assets - Amortised cost           | -                  | 24,327             |
| Right of Use                                              | -                  | (62,129)           |
|                                                           | -                  | -                  |
| <b>Net cash used in investing activities</b>              | <b>(13,049)</b>    | <b>4,250,820</b>   |
| <b>Cash flow from financing activities:</b>               |                    |                    |
| Purchase/Proceeds from disposal of associate              | -                  | -                  |
| Repayment of borrowings                                   | -                  | (42,124)           |
| Proceeds from borrowings                                  | -                  | -                  |
| <b>Net cash used in financing activities</b>              | <b>-</b>           | <b>(42,124)</b>    |
| Net increase/(decrease) in cash and cash equivalents      | <b>(1,025,053)</b> | <b>(237,550)</b>   |
| Cash and cash equivalent at beginning of year             | 1,079,425          | 1,316,975          |
| Net increase/decrease in cash and cash equivalents        | (1,025,053)        | (237,550)          |
| <b>Cash and cash equivalent at end of period</b>          | <b>54,372</b>      | <b>1,079,425</b>   |

**AFRICAN ALLIANCE INSURANCE PLC**  
**STATEMENT OF CHANGES IN EQUITY - COMPANY**  
**FOR THE PERIOD ENDED 31 MARCH 2024**

|                                                                      | Share capital<br>N'000 | Share premium<br>N'000 | Contingency<br>reserve<br>N'000 | Fair value<br>reserve<br>N'000 | Retained<br>earnings<br>N'000 | Total<br>N'000     |
|----------------------------------------------------------------------|------------------------|------------------------|---------------------------------|--------------------------------|-------------------------------|--------------------|
| <b>01-Jan-23</b>                                                     | <b>10,292,500</b>      | <b>14,365,133</b>      | <b>1,922,694</b>                | <b>15,398,382</b>              | <b>(37,457,344)</b>           | <b>4,521,365</b>   |
| <i>Total comprehensive income for the year</i>                       |                        |                        |                                 |                                |                               | -                  |
| Treasury shares                                                      |                        |                        |                                 |                                |                               | -                  |
| Premium on acquisition of Associate                                  |                        |                        |                                 |                                |                               | -                  |
| Profit for the year                                                  | -                      |                        |                                 |                                | (2,492,099)                   | <b>(2,492,099)</b> |
| Other comprehensive income for the year                              | -                      |                        |                                 | 398                            |                               | <b>398</b>         |
| <b>Total Comprehensive income for the period</b>                     | -                      | -                      | -                               | 398                            | (2,492,099)                   | (2,491,701)        |
| <i>Transactions with owners, recorded directly in equity</i>         |                        |                        |                                 |                                |                               |                    |
| Transfer to contingency reserve                                      | -                      |                        | 61,183                          |                                | (61,183)                      | -                  |
| <b>Total transactions with owners, recognised directly in equity</b> | -                      | -                      | 61,183                          | -                              | (61,183)                      | -                  |
| <b>31-Mar-24</b>                                                     | <b>10,292,500</b>      | <b>14,365,133</b>      | <b>1,983,877</b>                | <b>15,398,780</b>              | <b>(40,010,626)</b>           | <b>2,029,664</b>   |

**STATEMENT OF CHANGES IN EQUITY - COMPANY**  
**FOR THE PERIOD ENDED 31 DECEMBER 2022**

|                                                               | Share capital<br>N'000 | Share premium<br>N'000 | Contingency<br>reserve<br>N'000 | Fair value<br>reserve<br>N'000 | Retained<br>earnings<br>N'000 | Total<br>N'000     |
|---------------------------------------------------------------|------------------------|------------------------|---------------------------------|--------------------------------|-------------------------------|--------------------|
| <b>01-Jan-22</b>                                              | <b>10,292,500</b>      | <b>14,365,133</b>      | <b>1,854,545</b>                | <b>1,616,522</b>               | <b>(32,421,384)</b>           | <b>(4,292,684)</b> |
| <i>Total comprehensive income for the period</i>              |                        |                        |                                 |                                |                               | -                  |
| Treasury shares                                               |                        |                        |                                 |                                |                               | -                  |
| Premium on acquisition of Associate                           |                        |                        |                                 |                                |                               | -                  |
| Profit for the year                                           | -                      |                        |                                 |                                | (4,967,811)                   | (4,967,811)        |
| Other comprehensive Loss for the year                         |                        |                        |                                 | 13,781,860                     |                               | 13,781,860         |
| <b>Total Comprehensive income for the period</b>              | -                      | -                      | -                               | 13,781,860                     | (4,967,811)                   | 8,814,049          |
| <i>Transactions with owners, recorded</i>                     |                        |                        |                                 |                                |                               |                    |
| Transfer to contingency reserve                               |                        |                        | 68,149                          |                                | (68,149)                      | -                  |
| <b>Total transactions with owners, recognised directly in</b> | -                      | -                      | 68,149                          | -                              | (68,149)                      | -                  |
| <b>31-Dec-23</b>                                              | <b>10,292,500</b>      | <b>14,365,133</b>      | <b>1,922,694</b>                | <b>15,398,382</b>              | <b>(37,457,344)</b>           | <b>4,521,365</b>   |

# AFRICAN ALLIANCE INSURANCE PLC

## NOTES TO THE FINANCIAL STATEMENTS

### 1. General Information

African Alliance Insurance Company is a public limited company incorporated and domiciled in Nigeria. The registered office is located at 54 Awolowo Road, Ikoyi, Lagos.

The company is principally engaged in the business of providing risk underwriting for life, related financial and pension services, aviation and hospitality services to its customers.

### 2. Summary of significant accounting policies

The principal accounting policies applied in the preparation of these financial statements are disclosed under General information on the Reporting Entity and Summary of Significant Accounting Policies. These policies have been consistently applied to all the years presented unless otherwise stated.

### 3 Solvency

The assets backing the life funds are as follows:

|                             | <b>Company</b>          |                         |
|-----------------------------|-------------------------|-------------------------|
|                             | <b>2023</b>             | <b>2022</b>             |
|                             | <b>N000</b>             | <b>N000</b>             |
| Government Bonds            | 1,901,191               | 3,058,136               |
| Cash and bank balances      | 434,773                 | 787,831                 |
| Investment in quoted equity | 96,370                  | 270,453                 |
| <b>Total</b>                | <b><u>2,432,335</u></b> | <b><u>4,116,420</u></b> |

### 4 Management of Financial risk

The Group is exposed to various financial risks in connection with its current operating activities, such as foreign currency risk, interest rate risk, credit risk, market risk and liquidity risk. These risks contribute to the key financial risk that the proceeds from the Group's financial assets are insufficient to fund the obligations arising from insurance policy contracts.

The Company manages these risks through the activities of the Audit Committee and the Investment Committee. Each committee meets at least four times per annum to discuss financial risk issues. Management is responsible for implementing recommendations that have been agreed and reporting back to the relevant committee.

The Audit Committee is a committee of the Board of African Alliance Insurance Plc and is responsible for the implementation and monitoring of overall risk management, internal financial controls and financial and actuarial reporting within the Group. The main responsibilities of this Committee are:

- Setting and overseeing the overall standard for financial and actuarial reporting, risk management and internal controls within the Group;
- Monitoring the effectiveness of business risk management processes in the Group;
- Reviewing and assessing the quality of the work done by professionals responsible for financial and actuarial reporting, risk management and internal control;
- Engaging in discussions with external and internal auditors on the quality and acceptability of the control environment and reporting

The Investment Committee is a management committee and is responsible for

- ensuring that insurance and investment contract liabilities are matched with appropriate supporting assets based on the type of benefits payable to the contract holders;
- ensuring that the long-term investment return on assets supporting policy liabilities are sufficient to fund policyholders' reasonable benefit expectations and the shareholders' profit entitlement;
- the implementation and monitoring of the asset management process to ensure that the risks arising from trading positions are effectively managed within the pre-determined risk parameters.

### 4 Market risk

The business's operations are exposed to market risk. Market risk is the risk of adverse financial impact as a consequence of market movements such as currency exchange rates, interest rates and other price changes. Market risks arises due to fluctuations in both value of assets and liabilities. The company has established policies and procedures in order to manage market risk.

The acquisition of policyholders' assets is based on the design of the product and marketing descriptions. Within these parameters, investments are managed with the aim of maximising policyholder returns while limiting risk to acceptable levels within the framework of statutory requirements. The focus of risk measurement and management is to ensure that the potential risks inherent in an investment are reasonable for the future potential reward, exposure to investment risk is limited to acceptable levels, premium rates are adequate to compensate for investment risk and an adequate reserving policy is applied for long-term policy liabilities. The diverse product range requires a variety of approaches to the management of risk; these range from portfolio management practices and techniques such as optimization of expected risks and rewards based on investment objectives, to asset-liability matching in support of statement of financial position obligations.

### 4 Foreign exchange risk

Foreign exchange risk is the risk associated with movement in the foreign exchange prices from foreign currency denominated transactions which the Group is exposed to.

The Group is exposed to foreign exchange currency risk primarily through certain transactions denominated in foreign currency. The Group is exposed to foreign currency denominated in dollars and Pound through bank balances in other foreign currencies.

The Group manages its exposure to foreign exchange risk using sensitivity analysis to assess potential changes in the value of foreign exchange positions and impact of such changes on the Group's income. There have been no major changes from the previous year in the exposure to risk or policies, procedures and methods used to measure the risk.

### 4.3 Liquidity risk

Liquidity risk is the risk that the Company is unable to meet its obligations when they fall due as a result of policyholder benefit payments, cash requirements from contractual commitments, or other cash outflows, such as debt maturities. Such outflows would deplete available cash resources for operational, trading and investments activities. In extreme circumstances, lack of liquidity could result in reductions in the consolidated balance sheet and sales of assets, or potentially an inability to fulfil policyholder commitments. The risk that the Group will be unable to do so is inherent in all insurance operations and can be affected by a range of institution-specific and market-wide events including, but not limited to, credit events, merger and acquisition activity, systemic shocks and natural disasters.

Monitoring and reporting take the form of cash flow measurement and projections for the next day, week and month respectively, as these are key periods for liquidity management. The starting point for those projections is an analysis of the undiscounted contractual cashflow at maturity of the financial liabilities and the expected collection date of the financial assets.

All policyholder funds are invested in appropriate assets to meet the reasonable benefit expectations of policyholders, which include the expectation that funds will be available to pay out benefits as required by the policy contract. The disclosure in note 6 demonstrate that the Group has significant liquid resources. The value for policyholders' liabilities and the assets backing them are as per the carrying amount in the statement of the financial position.

The maturity profile of the total policyholders' liabilities and assets backing them is shown below:

| <b>Company</b>                                  |                                  |                             |                                |                              |                               |                               |                        |
|-------------------------------------------------|----------------------------------|-----------------------------|--------------------------------|------------------------------|-------------------------------|-------------------------------|------------------------|
| <b>31-Mar-24</b>                                | <b>Carrying amount<br/>N'000</b> | <b>0-3 months<br/>N'000</b> | <b>3 to 9 months<br/>N'000</b> | <b>9 to 1 year<br/>N'000</b> | <b>1 to 5 years<br/>N'000</b> | <b>&gt; 5 years<br/>N'000</b> | <b>Total<br/>N'000</b> |
| Trade payables                                  | 2,110,364                        | 211,036                     | 527,591                        | 738,628                      | 316,555                       | 316,554.67                    | 2,110,364              |
| Other liabilities                               | 1,225,966                        | 122,597                     | 306,492                        | 429,088                      | 183,895                       | 183,894.97                    | 1,225,966              |
| Investment linked contract liabilities          | 2,538,105                        | 253,810                     | 634,526                        | 888,337                      | 380,716                       | 380,715.73                    | 2,538,105              |
| <b>Total financial liabilities</b>              | <b>5,874,436</b>                 | <b>587,444</b>              | <b>1,468,609</b>               | <b>2,056,053</b>             | <b>881,165</b>                | <b>881,165</b>                | <b>5,874,436</b>       |
| Cash and bank balances                          | 434,773                          | 43,477                      | 108,693                        | 152,171                      | 65,216                        | 65,216.02                     | 434,773                |
| Marketable investment securities                | 31,843,979                       | 1,592,199                   | 955,319                        | 2,229,079                    | 1,592,199                     | 25,475,184                    | 31,843,979             |
| Trade receivables                               | -                                | -                           | -                              | -                            | -                             | -                             | -                      |
| Reinsurance assets                              | 104,553                          | -                           | -                              | 104,553                      | -                             | -                             | 104,553                |
| Other receivables                               | 643,788                          | 64,379                      | 160,947                        | 225,326                      | 96,568                        | 96,568.13                     | 643,788                |
| <b>Total financial assets</b>                   | <b>33,027,094</b>                | <b>1,700,055</b>            | <b>1,224,960</b>               | <b>2,711,128</b>             | <b>1,753,983</b>              | <b>25,636,968</b>             | <b>33,027,094</b>      |
| Net financial assets and liabilities            | 27,152,659                       | 1,112,612                   | (243,650)                      | 655,076                      | 872,820                       | 24,755,802                    | 27,152,658             |
| Insurance contract liabilities - Life fund      | (36,312,428)                     | (1,012,840)                 | (1,350,454)                    | (2,160,726)                  | (2,728,249)                   | (29,560,160)                  | (36,312,428)           |
| <b>Net policyholders assets and liabilities</b> | <b>(9,159,769)</b>               | <b>99,771</b>               | <b>(1,594,104)</b>             | <b>(1,505,650)</b>           | <b>(1,355,429)</b>            | <b>(4,804,358)</b>            | <b>(9,159,770)</b>     |

  

| <b>31-Dec-23</b>                                | <b>Carrying amount<br/>N'000</b> | <b>0-3 months<br/>N'000</b> | <b>3 to 9 months<br/>N'000</b> | <b>9 to 1 year<br/>N'000</b> | <b>1 to 5 years<br/>N'000</b> | <b>&gt; 5 years<br/>N'000</b> | <b>Total<br/>N'000</b> |
|-------------------------------------------------|----------------------------------|-----------------------------|--------------------------------|------------------------------|-------------------------------|-------------------------------|------------------------|
| Trade payables                                  | 1,649,987                        | 164,999                     | 412,497                        | 577,496                      | 247,498                       | 247,498                       | 1,649,987              |
| Other liabilities                               | 1,221,740                        | 122,174                     | 305,435                        | 427,609                      | 183,261                       | 183,261                       | 1,221,740              |
| Investment linked contract liabilities          | 2,919,135                        | 291,913                     | 729,784                        | 1,021,697                    | 437,870                       | 437,870                       | 2,919,135              |
| <b>Total financial liabilities</b>              | <b>5,790,862</b>                 | <b>579,086</b>              | <b>1,447,715</b>               | <b>2,026,802</b>             | <b>868,629</b>                | <b>868,629</b>                | <b>5,790,862</b>       |
| Cash and bank balances                          | 787,831                          | 78,783                      | 196,958                        | 275,741                      | 118,175                       | 118,175                       | 787,831                |
| Marketable investment securities                | 33,237,789                       | 1,661,889                   | 997,134                        | 2,326,645                    | 1,661,889                     | 26,590,232                    | 33,237,789             |
| Trade receivables                               | -                                | -                           | -                              | -                            | -                             | -                             | -                      |
| Reinsurance assets                              | 104,553                          | -                           | -                              | 104,553                      | -                             | -                             | 104,553                |
| Other receivables                               | 604,213                          | 60,421                      | 151,053                        | 211,475                      | 90,632                        | 90,632                        | 604,213                |
| <b>Total financial assets</b>                   | <b>34,734,386</b>                | <b>1,801,094</b>            | <b>1,345,145</b>               | <b>2,918,414</b>             | <b>1,870,696</b>              | <b>26,799,038</b>             | <b>34,734,386</b>      |
| Net financial assets and liabilities            | 28,943,525                       | 1,222,008                   | (102,571)                      | 891,612                      | 1,002,067                     | 25,930,409                    | 28,943,525             |
| Insurance contract liabilities - Life fund      | (40,849,131)                     | (1,496,744)                 | (1,995,659)                    | (3,193,054)                  | (3,292,837)                   | (29,903,761)                  | (39,882,055)           |
| <b>Net policyholders assets and liabilities</b> | <b>(11,905,606)</b>              | <b>(274,736)</b>            | <b>(2,098,230)</b>             | <b>(2,301,442)</b>           | <b>(2,290,770)</b>            | <b>(3,973,352)</b>            | <b>(10,938,531)</b>    |

The maturity of non-derivative financial liabilities and financial assets have been compiled based on undiscounted cash flows, which include estimated interest payments.

### 4.4 Capital management policies and procedures

The Company manages its capital to ensure that the company will be able to continue as going concern and comply with the regulators' capital requirements while maximising the return to stakeholders through the optimisation of the debt and equity balance. The capital structure of the company consists of equity attributable to equity holders of the parent, comprising issued capital, reserves and retained earnings.

The Company's Issued share capital as at 30 November, 2023 is N10,292,500 (2022:N10,292,500). The company is in compliance with the minimum capital requirement of N2 billion as stipulated by the Insurance Act.

|                      | <b>2023<br/>N'000</b> | <b>2022<br/>N'000</b> |
|----------------------|-----------------------|-----------------------|
| Share capital        | 10,292,500            | 10,292,500            |
| Share premium        | 14,365,133            | 14,365,133            |
| Contingency reserves | 2,258,658             | 1,983,878             |
| Fair value reserves  | -                     | -                     |
| Translation reserve  | -                     | -                     |
| Retained earnings    | (37,542,012)          | (40,010,618)          |
|                      | <b>(10,625,721)</b>   | <b>(13,369,105)</b>   |

The Company's policy is to maintain a strong capital base to maintain investor, creditor and market confidence and to sustain the future development of the business. Management uses regulatory capital ratios to monitor its capital base. Capital is allocated between specific operations and activities and to a large extent driven by optimisation of the return achieved on the capital allocated. The amount of capital allocated to each activity is based primarily on the regulatory capital. In some cases the regulatory requirements do not fully reflect the varying degree of risk associated with different activities. In such cases, the capital requirements may be flexed to reflect differing risk profiles, subject to the overall level of capital to support a particular operation not falling below the minimum required for regulatory purposes. The process of allocating capital to specific operations or activities is undertaken independently of those responsible for the operation by a committee.

The National Insurance Commission (NAICOM) specifies the minimum amount and type of capital that must be held by the company to cover the insurance liabilities. The regulator measures the financial strength of insurance companies using the capital adequacy requirements for the category of company. This test compares insurer's capital against the risk profile.

#### 4.5 Company Hypothecation

| Item                                     |                                                       | Life               | Annuity             | Investment Contract | Total<br>(Admissible) |
|------------------------------------------|-------------------------------------------------------|--------------------|---------------------|---------------------|-----------------------|
| Insurance Contract Liabilities           |                                                       | 6,752,268          | 29,560,160          |                     | 36,312,428            |
| Investment Contract Liabilities          |                                                       |                    | -                   | 2,538,105           | 2,538,105             |
| <b>Gross Insurance Funds</b>             |                                                       | 6,752,268          | 29,560,160          | 2,538,105           | 38,850,533            |
| <b>Less</b>                              |                                                       |                    |                     |                     |                       |
| <b>Reinsurance Receivables</b>           |                                                       |                    |                     |                     |                       |
| 1                                        | Reinsurance expenses prepaid                          |                    | -                   |                     | -                     |
| 2                                        | Reinsurers' share of Claims expense paid              | (3,597)            | -                   |                     | (3,597)               |
| 3                                        | Reinsurers' share of Unearned premium reserve         | (17,070)           | -                   |                     | (17,070)              |
| 4                                        | Reinsurers' share of Incurred but not reported claims | (83,887)           | -                   |                     | (83,887)              |
| 5                                        | Others (specify)                                      | -                  | -                   | -                   | -                     |
| <b>Net Insurance Funds</b>               |                                                       | 6,647,714          | 29,560,160          | 2,538,105           | 38,745,979            |
| <b>Admissible Assets</b>                 |                                                       |                    |                     |                     |                       |
| 1                                        | Cash and Cash Equivalents                             | 212,450            | 124,318             | 98,005              | 434,773               |
| 2                                        | Treasury bills and Government Bonds                   | 500,648            | 386,957             | 1,076,369           | 1,963,974             |
| 3                                        | Corporate Bonds & Debenture                           |                    |                     |                     | -                     |
| 4                                        | Quoted Shares                                         | 50,307             | -                   | 46,063              | 96,370                |
| 5                                        | Unquoted Shares                                       | 220,000            | 160,000             | 290,000             | 670,000               |
| 6                                        | Loan to Policy holders                                | 161,321            | -                   |                     | 161,321               |
| 7                                        | Investment Properties                                 | 2,318,832          | 982,500             | 1,027,668           | 4,329,000             |
|                                          | Total Admissible Assets                               | 3,463,558          | 1,653,775           | 2,538,105           | 7,655,438             |
| <b>SURPLUS(DEFICIT ) IN ASSETS COVER</b> |                                                       | <b>(3,184,156)</b> | <b>(27,906,385)</b> | <b>0</b>            | <b>(31,090,541)</b>   |

0

## NOTES TO THE FINANCIAL STATEMENTS

### 4.6 Minimum Capital requirement

The company did not meet the minimum capital requirement of N2 billion as stipulated by the Insurance Act

| <b>The Solvency Margin for African Alliance Insurance Plc. as at 30 December 2023 is as follows:</b> |                   |                    |                     |
|------------------------------------------------------------------------------------------------------|-------------------|--------------------|---------------------|
|                                                                                                      | <b>Total</b>      | <b>Admissible</b>  | <b>Inadmissible</b> |
|                                                                                                      | <b>N'000</b>      | <b>N'000</b>       | <b>N'000</b>        |
| <b>Assets</b>                                                                                        |                   |                    |                     |
| Cash & Cash Equivalent                                                                               | 434,773           | 434,773            | -                   |
| Financial Assets                                                                                     | 31,906,762        | 31,906,762         | -                   |
| Trade Receivable                                                                                     | -                 | -                  | -                   |
| Reinsurance Assets                                                                                   | 104,553           | 104,553            | -                   |
| Other Receivable & Prepayment                                                                        | 643,788           | 170,525            | 473,263             |
| Investment properties                                                                                | 12,734,000        | 8,405,000          | 4,329,000           |
| Investment in Subsidiary                                                                             | 105,000           | -                  | 105,000             |
| Investment in Associate                                                                              | -                 | -                  | -                   |
| Retirement benefit assets                                                                            | -                 | -                  | -                   |
| Deffered Tax Asset                                                                                   | 146,476           | -                  | 146,476             |
| Intangible assets                                                                                    | 29,596            | 29,596             | -                   |
| Right of Use Assets                                                                                  | 103,998           | -                  | 103,998             |
| Property Plant & Equipment                                                                           | 650,574           | 650,574            | -                   |
| Statutory Deposit                                                                                    | 200,000           | 200,000            | -                   |
| <b>Total Assets (a)</b>                                                                              | <b>47,059,519</b> | <b>41,901,783</b>  | <b>5,157,736</b>    |
| <b>Liabilities</b>                                                                                   |                   |                    |                     |
| Insurance Contract Liabilities                                                                       | 36,312,428        | 36,312,428         | -                   |
| Investment Contract Liabilities                                                                      | 2,538,105         | 2,538,105          | -                   |
| Employee Benefit                                                                                     | 9,041             | 9,041              | -                   |
| Borrowing                                                                                            | -                 | 0                  | -                   |
| Trade Payable                                                                                        | 2,110,364         | 2,110,364          | -                   |
| Other Payables & Accruals                                                                            | 650,651           | 650,651            | -                   |
| Dividend Payable                                                                                     | -                 | -                  | -                   |
| Deffered Tax Liabilities                                                                             | 99,993            | -                  | 99,993              |
| Tax Payable                                                                                          | 566,275           | 566,275            | -                   |
| <b>Total Liabilities (b)</b>                                                                         | <b>42,286,857</b> | <b>42,186,864</b>  | <b>99,993</b>       |
| <b>SOLVENCY MARGIN (a-b)</b>                                                                         |                   | <b>(285,081)</b>   |                     |
| <b>Subject to Higher of:</b>                                                                         |                   |                    |                     |
| 15% of Gross premium income                                                                          | 217,634           |                    |                     |
| or                                                                                                   |                   |                    |                     |
| Minimum Capital Requirement                                                                          |                   | <b>2,000,000</b>   |                     |
| <b>Surplus/(Deficit) In Solvency Margin</b>                                                          |                   | <b>(2,285,081)</b> |                     |
| Gross Solvency ratio                                                                                 |                   | <b>-14%</b>        |                     |
| Net Solvency ratio                                                                                   |                   | <b>-114%</b>       |                     |

**5.0** The minimum capital required is compared with the equity maintained during the period in the table below:

|                                                   | <b>ACTUAL</b>    |                  |
|---------------------------------------------------|------------------|------------------|
|                                                   | <b>31-Mar-24</b> | <b>31-Dec-23</b> |
|                                                   | <b>N'000</b>     | <b>N'000</b>     |
| Shareholders' equity                              | 4,772,662        | 2,029,275        |
| Capital requirement on regulatory basis           | 2,000,000        | 2,000,000        |
| Shortfall in Solvency Margin                      | (2,285,081)      | (5,482,757)      |
| Shortfall in Asset cover for contract liabilities | (31,090,541)     | (29,322,330)     |

**6 Cash and cash equivalent**

|                                           | <b>Company</b>   |                  |
|-------------------------------------------|------------------|------------------|
|                                           | <b>Actual</b>    | <b>Actual</b>    |
|                                           | <b>31-Mar-24</b> | <b>31-Dec-23</b> |
|                                           | <b>N'000</b>     | <b>N'000</b>     |
| Cash in bank (note 6.2)                   | (184,544)        | 322,375          |
| Short-term bank deposits                  | 619,317          | 465,456          |
|                                           | <u>434,773</u>   | <u>787,831</u>   |
| <b>Short Term Bank Deposit</b>            |                  |                  |
| Short Term Bank Deposit                   | 640,388          | 489,505          |
| ECL Impairment 01 January                 | (24,049)         | (19,336)         |
| Additional ECL Impairment during the year | 2,978            | (4,713)          |
|                                           | <u>619,317</u>   | <u>465,456</u>   |

**6.1** Movement in ECL adjustment on cash and cash equivalent is detailed below

|                       | <b>31-Mar-24</b> | <b>31-Dec-23</b> |
|-----------------------|------------------|------------------|
|                       | <b>N'000</b>     | <b>N'000</b>     |
| At 1 January          | 24,049           | 19,336           |
| Movement for the year | (2,978)          | 4,713            |
| At 31 December        | <u>21,070</u>    | <u>24,049</u>    |

**6.2 Cash and cash equivalent for the purpose of cashflow**

Cash and cash equivalents includes cash in hand, deposits held at call with banks, other short-term highly liquid investments with original maturities of three months or less. They include:

|                          | <b>Company</b>   |                  |
|--------------------------|------------------|------------------|
|                          | <b>Actual</b>    | <b>Actual</b>    |
|                          | <b>31-Mar-24</b> | <b>31-Dec-23</b> |
|                          | <b>N'000</b>     | <b>N'000</b>     |
| Cash in bank             | (184,544)        | 322,375          |
| Short-term bank deposits | 640,388          | 489,505          |
|                          | <u>455,844</u>   | <u>811,880</u>   |

**7 Financial assets****7.1****FVTPL - Quoted equities**

These are quoted equities in the Nigerian Stock Exchange, the fair value were determined by reference

|                          | <b>Company</b>   |                  |
|--------------------------|------------------|------------------|
|                          | <b>Actual</b>    | <b>Actual</b>    |
|                          | <b>31-Mar-24</b> | <b>31-Dec-23</b> |
|                          | <b>N'000</b>     | <b>N'000</b>     |
| Quoted equity securities | 96,370           | 270,453          |
|                          | <u>96,370</u>    | <u>270,453</u>   |

|              |                                                                                                                                                                          |                          |                          |
|--------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------|--------------------------|
| <b>7.1i</b>  | <b>Movement in FVTPL - Quoted equities</b>                                                                                                                               |                          |                          |
|              | <b>At 1 January</b>                                                                                                                                                      | 270,453                  | 139,135                  |
|              | Disposal                                                                                                                                                                 | -                        | -                        |
|              | Fair value changes                                                                                                                                                       | <u>(174,083)</u>         | <u>131,318</u>           |
|              | At 31 December                                                                                                                                                           | <u><u>96,370</u></u>     | <u><u>270,453</u></u>    |
| <b>7.2</b>   | <b>FVTPL - Debt Securities (bonds)</b>                                                                                                                                   |                          |                          |
|              | Government and corporate bonds                                                                                                                                           | 2,080,914                | 2,929,077                |
|              | Fair value changes                                                                                                                                                       | <u>(179,723)</u>         | <u>129,058</u>           |
|              |                                                                                                                                                                          | <u><u>1,901,191</u></u>  | <u><u>3,058,136</u></u>  |
| <b>7.2i</b>  | <b>Movement in FVTPL - Debt Securities (bonds)</b>                                                                                                                       |                          |                          |
|              | At 1 January                                                                                                                                                             | 3,058,136                | 6,269,672                |
|              | Additions                                                                                                                                                                | -                        | 240,000                  |
|              | Redemption/disposal                                                                                                                                                      | -                        | (3,580,594)              |
|              | Fair value changes                                                                                                                                                       | <u>(179,723)</u>         | <u>129,058</u>           |
|              |                                                                                                                                                                          | <u><u>2,878,413</u></u>  | <u><u>3,058,136</u></u>  |
| <b>7.2ii</b> | <b>Net fair value gains/(loss)</b>                                                                                                                                       |                          |                          |
|              | Fair value gain on equity shares                                                                                                                                         | (174,083)                | 131,318                  |
|              | Fair value gain on Bonds                                                                                                                                                 | <u>(179,723)</u>         | <u>129,058</u>           |
|              |                                                                                                                                                                          | <u><u>(353,806)</u></u>  | <u><u>260,377</u></u>    |
|              | <b>Fair value movement</b>                                                                                                                                               |                          |                          |
|              | <b>As 1 January</b>                                                                                                                                                      | 467,896                  | 338,838                  |
|              | Fair value changes                                                                                                                                                       | <u>(179,723)</u>         | <u>129,058</u>           |
|              | At 31 December                                                                                                                                                           | <u><u>288,173</u></u>    | <u><u>467,896</u></u>    |
| <b>7.3</b>   | <b>FVOCI (Unquoted Equities)</b>                                                                                                                                         |                          |                          |
|              | The unquoted equities carried as fair value through Other Comprehensive Income financial assets were fair valued using the fund prices advised by the investee companies |                          |                          |
|              | Equity securities                                                                                                                                                        | 29,846,418               | 29,846,418               |
|              |                                                                                                                                                                          | <u><u>29,846,418</u></u> | <u><u>29,846,418</u></u> |

**7.3i Movement in unquoted equities FVOCI**

|                                                   |                          |                          |
|---------------------------------------------------|--------------------------|--------------------------|
| At 1 January                                      | 29,846,418               | 29,846,418               |
| Additions                                         |                          |                          |
| Impairment (charge)/write back                    |                          |                          |
| Fair value loss at the date of repurchase Note 29 |                          |                          |
| Disposal                                          | -                        | -                        |
| Fair value changes                                | -                        | -                        |
|                                                   | <u>-</u>                 | <u>-</u>                 |
| At 31 December                                    | <b><u>29,846,418</u></b> | <b><u>29,846,418</u></b> |

**7.4 Amortised cost - Debt securities**

|                  |                      |                      |
|------------------|----------------------|----------------------|
| Commerical paper | (0)                  | (0)                  |
| Corporate bond   | 57,576               | 57,576               |
| Promissory notes | -                    | -                    |
| Treasury Bills   | 6,205                | 6,205                |
| ECL Adjustment   | (999)                | (999)                |
|                  | <u>62,782</u>        | <u>62,782</u>        |
|                  | <b><u>62,782</u></b> | <b><u>62,782</u></b> |

**7.4i Movement in Amortised cost - Debt securities**

|                |                      |                      |
|----------------|----------------------|----------------------|
| At 1 January   | 63,781               | 63,781               |
| Addtions       |                      |                      |
| Redemption     | -                    | -                    |
| ECL Adjustment | (999)                | (999)                |
| At 31 December | <u>62,782</u>        | <u>62,782</u>        |
|                | <b><u>62,782</u></b> | <b><u>62,782</u></b> |

**7.4ii Movement in ECL adjustment on Amortised cost - Debt securities**

|                       |                     |                     |
|-----------------------|---------------------|---------------------|
| At 1 January          | (999)               | (1,489)             |
| Movement for the year | -                   | 490                 |
| At 31 December        | <u>(999)</u>        | <u>(999)</u>        |
|                       | <b><u>(999)</u></b> | <b><u>(999)</u></b> |

**9 Reinsurance assets: This is analysed as follows**

Reinsurance receivables  
Reinsurance share of claims Incurred But Not Reported (IBNR) (note 9 (i))  
Prepaid reinsurance (note 9(ii))

**NOTES TO THE FINANCIAL STATEMENTS  
FOR THE PERIOD ENDED 31 MARCH 2024**

|               |                                                                                 | <b>Company</b>                        |                                       |
|---------------|---------------------------------------------------------------------------------|---------------------------------------|---------------------------------------|
|               |                                                                                 | <b>Actual<br/>31-Mar-24<br/>N'000</b> | <b>Actual<br/>31-Dec-23<br/>N'000</b> |
| <b>9 (i)</b>  | <b>Movement in reinsurance share of claims Incurred But Not Reported (IBNR)</b> |                                       |                                       |
|               | At 1 January                                                                    | 83,887                                | 83,887                                |
|               | Changes during the year                                                         | -                                     | -                                     |
|               | At 31 December                                                                  | <b>83,887</b>                         | <b>83,887</b>                         |
| <b>9 (ii)</b> | <b>Prepaid reinsurance</b>                                                      |                                       |                                       |
|               | At 1 January                                                                    | 17,070                                | 17,070                                |
|               | Additions in the year                                                           | -                                     | -                                     |
|               | Amortised in the year-reinsurance expense (see note 31)                         |                                       |                                       |
|               | At 31 December                                                                  | <b>17,070</b>                         | <b>17,070</b>                         |
| <b>10</b>     | <b>Other receivables and prepayments</b>                                        |                                       |                                       |
|               |                                                                                 | <b>Actual<br/>31-Mar-24<br/>N'000</b> | <b>Actual<br/>31-Dec-23<br/>N'000</b> |
|               | Mortgage Loans- staff                                                           | 10,555                                | 10,555                                |
|               | Policy loans                                                                    | 179,728                               | 180,696                               |
|               | Due from agents                                                                 | 58,044                                | 58,457                                |
|               | Investment Income Recievable                                                    | 0                                     | 0                                     |
|               | Prepayment Rent                                                                 | 8,858                                 | 4,408                                 |
|               | Prepayment - Others                                                             | 50,372                                | 48,490                                |
|               | Staff Loans & Receivables                                                       | 8,477                                 | 8,477                                 |
|               | Deposit for Investment (note 10.2)                                              | -                                     | -                                     |
|               | Due from related company (note 10.3)                                            | 1,600,267                             | 1,600,267                             |
|               | Stock of raw materials & consumables                                            | 1,682                                 | 1,701                                 |
|               | Staff share loans                                                               | 2,131,790                             | 2,131,790                             |
|               | Other receivables                                                               | 375,237                               | 340,609                               |
|               |                                                                                 | 4,425,010                             | 4,385,450                             |
|               | Impairment allowance (note 10.1d)                                               | (3,781,221)                           | (3,781,237)                           |
|               |                                                                                 | <b>643,788</b>                        | <b>604,213</b>                        |
|               | Current                                                                         | 39,575                                | (87,743)                              |
|               | Non-current                                                                     | 604,213                               | 691,956                               |
|               |                                                                                 | <b>643,788</b>                        | <b>604,213</b>                        |

**10.1b Staff Share Loan:**

|                                                                      |                                                           | Company                      |
|----------------------------------------------------------------------|-----------------------------------------------------------|------------------------------|
|                                                                      | Actual<br>31-Mar-24<br>N'000                              | Actual<br>31-Dec-23<br>N'000 |
| <b>10.1c</b>                                                         | <b>The Movement in impairment allowance is as follows</b> |                              |
| At 1 January                                                         | 3,781,237                                                 | 3,777,369                    |
| Reclassification to/from loans and receivables                       |                                                           |                              |
| Impairment on loans and receivables (write off/write back)           | (16)                                                      | 3,870                        |
| Impairment on Short term loan                                        |                                                           |                              |
| Provision no longer required on Frenchies taken over by AAIC in 2017 |                                                           |                              |
| Impairment on Other receivables                                      |                                                           |                              |
| Balances written off against provision                               |                                                           |                              |
| At 31 December                                                       | <b>3,781,221</b>                                          | <b>3,781,237</b>             |

|              |                                                | Actual<br>31-Mar-24<br>N'000 | Company<br>Actual<br>31-Dec-23<br>N'000 |
|--------------|------------------------------------------------|------------------------------|-----------------------------------------|
| <b>10.2</b>  | <b>Deposits for shares/Investment</b>          |                              |                                         |
|              | First Ghana Buidling Company Limited,<br>Ghana |                              |                                         |
|              | Paramount Hotel,Ghana                          |                              |                                         |
|              | Fountian Trust Limited                         | -                            |                                         |
|              | Golden Securities Limited                      | -                            |                                         |
|              | Ghana Life Insurance Limited                   | -                            | -                                       |
|              |                                                | -                            | -                                       |
| <b>10.2i</b> | <b>Movement in Deposit for shares</b>          |                              |                                         |
|              | At 1 January                                   | -                            | -                                       |
|              | Additional injection of funds during the year  |                              |                                         |
|              | Impairment allowance                           | -                            | -                                       |
|              | At 31 December                                 | -                            | -                                       |

|             |                                               |                  |                  |
|-------------|-----------------------------------------------|------------------|------------------|
| <b>10.4</b> | <b>Movement in impairment allowance</b>       |                  |                  |
|             | At 1 January                                  | 1,600,267        | 1,600,267        |
|             | Impairment charge/(written back) for the year |                  | -                |
|             | At 31 December                                | <b>1,600,267</b> | <b>1,600,267</b> |

**AFRICAN ALLIANCE INSURANCE PLC**

**NOTES TO THE FINANCIAL STATEMENTS  
FOR THE PERIOD ENDED 31 MARCH 2024**

|                                                                         | Actual<br>31-Mar-24<br>N'000 | Company | Actual<br>31-Dec-23<br>N'000 |
|-------------------------------------------------------------------------|------------------------------|---------|------------------------------|
| <b>11 Investment properties</b>                                         |                              |         |                              |
| At 1 January                                                            | 12,734,000                   |         | 11,080,750                   |
| Acquisition/improvement                                                 | -                            |         | -                            |
| Disposal                                                                | -                            |         | -                            |
| Transfer to Land & Building                                             | -                            |         | -                            |
| Fair value gain on revaluation                                          | -                            |         | 1,653,250                    |
|                                                                         | <u>12,734,000</u>            |         | <u>12,734,000</u>            |
| At 31 December                                                          | <u>12,734,000</u>            |         | <u>12,734,000</u>            |
| Of the investment properties, the following relates to insurance Funds: |                              |         |                              |
| Insurance funds                                                         | 8,405,000                    |         | 8,405,000                    |
| Shareholders funds                                                      | <u>4,329,000</u>             |         | <u>4,329,000</u>             |
|                                                                         | <u>12,734,000</u>            |         | <u>12,734,000</u>            |

The properties were valued by A.C. Otegbulu & Partners Estate surveyors & Valuers, a registered member of Financial Reporting Council of Nigeria (FRCN/2013/NIESV/0000001582), in December, 2022 on the basis of determining the open market value of the investment properties. The open market value of all the properties were determined using recent comparable market prices.

The properties are held for long term capital appreciation and rental income.

|                                                                                                                | Actual<br>31-Mar-24<br>N'000 | Company | Actual<br>31-Dec-23<br>N'000 |
|----------------------------------------------------------------------------------------------------------------|------------------------------|---------|------------------------------|
| <b>11.1 A brief descriptions of the properties held by Company are as follows</b>                              |                              |         |                              |
| Breadfruit Street Marina Lagos                                                                                 | 4,920,000                    |         | 4,920,000                    |
| Land at Pankere Village, Abijo, Ibeju Lekki                                                                    | 4,329,000                    |         | 4,329,000                    |
| Plot C4, Rumuogba Layout, Aba road, Port Harcourt                                                              | 944,000                      |         | 944,000                      |
| Sani Abacha Estate, Abuja                                                                                      | 1,078,000                    |         | 1,078,000                    |
| 73 Oyemekun street, Akure                                                                                      | 38,000                       |         | 38,000                       |
| Property at Millennium Housing estate                                                                          | 97,000                       |         | 97,000                       |
| 112 Broad Street, Lagos                                                                                        | 1,328,000                    |         | 1,328,000                    |
|                                                                                                                | -                            |         | -                            |
|                                                                                                                | <u>12,734,000</u>            |         | <u>12,734,000</u>            |
| <b>A brief descriptions of the properties held by the company in its name are as follows:</b>                  |                              |         |                              |
| Breadfruit Street Marina Lagos                                                                                 | 4,920,000                    |         | 4,920,000                    |
| Property at Millennium Housing estate                                                                          | 97,000                       |         | 97,000                       |
| 73 Oyemekun street, Akure                                                                                      | 38,000                       |         | 38,000                       |
| 112 Broad Street, Lagos                                                                                        | 1,328,000                    |         | 1,328,000                    |
| Sani Abacha Estate, Abuja                                                                                      | 1,078,000                    |         | 1,078,000                    |
| Plot C4, Rumuogba Layout, Aba road, Port Harcourt                                                              | 944,000                      |         | 944,000                      |
|                                                                                                                | <u>8,405,000</u>             |         | <u>8,405,000</u>             |
| <b>A brief descriptions of the properties held by the company in the name of Conau Limited are as follows:</b> |                              |         |                              |
| Land at Pankere Village, Abijo, Ibeju Lekki                                                                    | 4,329,000                    |         | 4,329,000                    |
|                                                                                                                | -                            |         | -                            |
|                                                                                                                | <u>4,329,000</u>             |         | <u>4,329,000</u>             |
| <b>Total investment property</b>                                                                               | <u>12,734,000</u>            |         | <u>12,734,000</u>            |

|                                                   |                                  |                            |                                    |                             |                                  |
|---------------------------------------------------|----------------------------------|----------------------------|------------------------------------|-----------------------------|----------------------------------|
| <b>11.2 Movement in Investment Properties</b>     |                                  |                            |                                    |                             |                                  |
| <b>Company</b>                                    |                                  |                            |                                    |                             |                                  |
| <b>Description</b>                                | <b>Opening balance<br/>N'000</b> | <b>Additions<br/>N'000</b> | <b>Disposal/Transfer<br/>N'000</b> | <b>Fair value<br/>N'000</b> | <b>Closing balance<br/>N'000</b> |
| Breadfruit Street Marina Lagos                    | 4,822,000                        | -                          | -                                  | 98,000                      | 4,920,000                        |
| Land at Pankere Village, Abijo, Ibeju Lekki       | 2,972,000                        | -                          | -                                  | 1,357,000                   | 4,329,000                        |
| Plot C4, Rumuogba Layout, Aba road, Port Harcourt | 910,000                          | -                          | -                                  | 34,000                      | 944,000                          |
| Sani Abacha Estate, Abuja                         | 975,000                          | -                          | -                                  | 103,000                     | 1,078,000                        |
| 73 Oyemekun street, Akure                         | 31,250                           | -                          | -                                  | 6,750                       | 38,000                           |
| Property at Millennium Housing estate             | 85,500                           | -                          | -                                  | 11,500                      | 97,000                           |
| 112 Broad Street, Lagos                           | 1,285,000                        | -                          | -                                  | 43,000                      | 1,328,000                        |
|                                                   | <u>11,080,750</u>                | <u>-</u>                   | <u>-</u>                           | <u>1,653,250</u>            | <u>12,734,000</u>                |

**11.3 INVESTMENT PROPERTIES NOT IN THE NAME OF AFRICAN ALLIANCE****FOR THE PERIOD ENDED 31 MARCH 2024**

| PROPERTIES                  | TITLE OF DOCUMENTS                                                                                         | DATE OF ACQUISITION | TITLE DOCUMENT NO | LOCATION                           | CARRYING AMOUNT N'000 |
|-----------------------------|------------------------------------------------------------------------------------------------------------|---------------------|-------------------|------------------------------------|-----------------------|
| Land at Pankere Village, Ab | Deed of Assignment & Governor's Consent for Application to assignment between Land Owner and Conau Limited | Year 2008           | N/A               | Abijo GRA Ibeju Lekki, Lagos state | 4,329,000             |
|                             |                                                                                                            |                     |                   |                                    |                       |

**INVESTMENT PROPERTIES IN THE NAME OF AFRICAN ALLIANCE****FOR THE PERIOD ENDED 31 MARCH 2024**

| PROPERTIES                                        | TITLE OF DOCUMENTS                                                                           | DATE OF ACQUISITION | TITLE DOCUMENT NO | LOCATION                                                         | CARRYING AMOUNT N'000 |
|---------------------------------------------------|----------------------------------------------------------------------------------------------|---------------------|-------------------|------------------------------------------------------------------|-----------------------|
| Property Breadfruit Street M                      | Lagos State Government Land Certificate and Deed of Assignment                               | Year 1960           | L03746            | 13/17 Breadfruit Street, Lagos                                   | 4,920,000             |
| Property Rumuogba Layout, Aba road, Port Harcourt | Deed of Assignment & Certificate of Occupancy                                                | Year 2008           | N/A               | Plot C4, Rumuogba Layout, Aba road, Port Harcourt                | 944,000               |
| 73 Oyemekun street, Akure                         | Certificate of Right of Occupancy                                                            | Year 1983           | N/A               | 73 Oyemekun street, Akure                                        | 38,000                |
| Property at Millennium Hou                        | Lagos State Government Allocation Letter                                                     | Year 2004           | N/A               | Block B House 9B Oba Adeyinka Oyekan Housing Estate Lekki, Lagos | 97,000                |
| Duplex at Sani Abacha Esta                        | Deed of Assignment between Federal Republic of Nigeria represented by EFCC and Conau Limited | Year 2008           | N/A               | 2220 Suez Canal Crescent Sani Abacha Estate, Abuja               | 1,078,000             |
|                                                   |                                                                                              |                     |                   |                                                                  |                       |
| Property 112 Broad Street,                        | Lagos State Government Land Certificate and Deed of Assignment                               | Year 1961           | L03990            | 112 Broad Street,                                                | 1,328,000             |
|                                                   |                                                                                              |                     |                   |                                                                  | 8,405,000             |

**NOTES TO THE FINANCIAL STATEMENTS  
FOR THE PERIOD ENDED 31 MARCH 2024**

**12 Investment in subsidiary**

The company's investment in subsidiary is as stated below:

|                                                 | Actual<br>31-Mar-24<br>N'000 | Company<br>Actual<br>31-Dec-23<br>N'000 |
|-------------------------------------------------|------------------------------|-----------------------------------------|
| Axiom Air Limited (Note 12a)                    | 3,000,000                    | 3,000,000                               |
| Ghana Life Insurance Company Limited (Note 12b) | 1,770,741                    | 1,770,741                               |
|                                                 | <b>4,770,741</b>             | <b>4,770,741</b>                        |
| Impairment allowance (note 12d)                 | (4,665,741)                  | (4,665,741)                             |
|                                                 | <b>105,000</b>               | <b>105,000</b>                          |

**12a Axiom Air Limited:-**

The movement in Axiom Air Limited is as follows:

|                                                  |             |             |
|--------------------------------------------------|-------------|-------------|
| At 1 January                                     | 3,000,000   | 3,000,000   |
| Additions, during the period (capital injection) | -           | -           |
| Impairment allowance                             | (3,000,000) | (3,000,000) |
|                                                  | <b>-</b>    | <b>-</b>    |

The company was incorporated on 17 July 2008 to carry on the business of airline owners and management, provide air transport for public use; to provide all necessary and or desirable services incidental to this objective, including booking, reservation, routing and ticketing services, baggage management, flight catering and entertainment and provision of hotel accommodation. The company is wholly owned.

**12b Ghana Life Insurance Company Limited**

The movement in Ghana Life Limited is as follows:

|                                                  |                |                |
|--------------------------------------------------|----------------|----------------|
| At 1 January                                     | 1,770,741      | 1,770,741      |
| Additions, during the period (capital injection) | -              | -              |
| Impairment allowance                             | (1,665,741)    | (1,665,741)    |
|                                                  | <b>105,000</b> | <b>105,000</b> |

The company is a subsidiary of African Alliance Insurance Plc. The company is domiciled in Ghana and is permitted by its regulation to carry on the business of life insurance.

**12c Movement in the impairment in Ghana life is as follows**

|                                               | Actual<br>31-Mar-24<br>N'000 | Company<br>Actual<br>31-Dec-23<br>N'000 |
|-----------------------------------------------|------------------------------|-----------------------------------------|
| At 1 January                                  | 1,665,741                    | 1,665,741                               |
| Impairment charge/(written back) for the year | -                            | -                                       |
|                                               | <b>1,665,741</b>             | <b>1,665,741</b>                        |

**12d Movement in impairment allowance in investment in subsidiary**

|                                               |                  |                  |
|-----------------------------------------------|------------------|------------------|
| At 1 January                                  | 4,228,013        | 4,228,013        |
| Impairment charge/(written back) for the year | -                | -                |
| At 31 December                                | <b>4,228,013</b> | <b>4,228,013</b> |

**Movement in impairment charge**

|                              | At 1 Jan<br>2023 | Additional charge | 31-Mar-24        |
|------------------------------|------------------|-------------------|------------------|
| Axiom Air Limited            | 3,000,000        |                   | 3,000,000        |
| Ghana Life Insurance company | 1,665,741        | -                 | 1,665,741        |
|                              | <b>4,665,741</b> |                   | <b>4,665,741</b> |

|  | Actual<br>31-Mar-24<br>N'000 | Company<br>Actual<br>31-Dec-23<br>N'000 |
|--|------------------------------|-----------------------------------------|
|--|------------------------------|-----------------------------------------|

**13 Investment In associate**

Investment in Pension Alliance Limited

|  |   |   |
|--|---|---|
|  | - | - |
|--|---|---|

**NOTES TO THE FINANCIAL STATEMENTS  
FOR THE PERIOD ENDED 31 MARCH 2024**

| 14 | Intangible assets          | Company                       |                |
|----|----------------------------|-------------------------------|----------------|
|    |                            | Computer<br>Software<br>N'000 | Total<br>N'000 |
|    | <b>Cost</b>                |                               |                |
|    | At 1 January 2023          | 166,601                       | 166,601        |
|    | Additions                  | -                             | -              |
|    | At 31 December 2023        | <b>166,601</b>                | <b>166,601</b> |
|    | <b>Amortisation</b>        |                               |                |
|    | At 1 January 2023          | 133,816                       | 133,816        |
|    | Charge for the period      | 3,189                         | 3,189          |
|    | At 31 December 2023        | <b>137,005</b>                | <b>137,005</b> |
|    | Net book amount            |                               |                |
|    | <b>=B19</b>                | <b>29,596</b>                 | <b>29,596</b>  |
|    | <b>At 31 December 2023</b> | <b>32,785</b>                 | <b>32,785</b>  |

| 14.1 | Intangible asset      | Company                       |                |
|------|-----------------------|-------------------------------|----------------|
|      |                       | Computer<br>Software<br>N'000 | Total<br>N'000 |
|      | <b>Cost</b>           |                               |                |
|      | At 1 January 2023     | 153,164                       | 153,164        |
|      | Additions             | 13,438                        | 13,438         |
|      | At 31 December 2023   | <b>166,601</b>                | <b>166,601</b> |
|      | <b>Amortisation</b>   |                               |                |
|      | At 1 January 2023     | 119,804                       | 119,804        |
|      | Charge for the period | 14,012                        | 14,012         |
|      | Impairment charge     | <b>133,816</b>                | <b>133,816</b> |
|      | At 31 December 2023   | <b>32,785</b>                 | <b>32,785</b>  |

**NOTES TO THE FINANCIAL STATEMENTS  
FOR THE PERIOD ENDED 31 MARCH 2024**

**15 Property and equipment  
Company**

|                                         | Land           | Building<br>N'000 | Motor<br>Vehicles<br>N'000 | Furniture<br>& Fittings<br>N'000 | Computer<br>Equipment<br>N'000 | Office<br>Equipment<br>N'000 | Total<br>N'000   |
|-----------------------------------------|----------------|-------------------|----------------------------|----------------------------------|--------------------------------|------------------------------|------------------|
| <b>Cost</b>                             |                |                   |                            |                                  |                                |                              |                  |
| At 1 January 2023                       | 100,000        | 188,331           | 494,904                    | 213,632                          | 314,508                        | 419,572                      | 1,730,947        |
| Additions                               | -              | -                 | -                          | 0                                | 7837                           | 5212                         | 13,049           |
| Disposal                                | -              | -                 | -                          | -                                | (3,823)                        | (4,710)                      | (8,533)          |
| Transfer from Investment Properties     | -              | -                 | -                          | -                                | -                              | -                            | -                |
| Derecognition                           | -              | -                 | -                          | -                                | -                              | -                            | -                |
| Revaluation                             | -              | -                 | -                          | -                                | -                              | -                            | -                |
| <b>At 31 December 2023</b>              | <b>100,000</b> | <b>188,331</b>    | <b>494,904</b>             | <b>213,632</b>                   | <b>318,522</b>                 | <b>420,074</b>               | <b>1,735,463</b> |
| <b>Depreciation</b>                     |                |                   |                            |                                  |                                |                              |                  |
| At 1 January 2023                       | -              | 7,732             | 372,790                    | 147,849                          | 275,024                        | 242,772                      | 1,046,168        |
| Charge for the year                     | -              | 903               | 18,737                     | 3,758                            | 7,304                          | 9,807                        | 40,509           |
| Disposal                                | -              | -                 | -                          | (273)                            | (176)                          | (1,339)                      | (1,788)          |
| Elimination of accum dep on revaluation | -              | -                 | -                          | -                                | -                              | -                            | -                |
| Revaluation                             | -              | -                 | -                          | -                                | -                              | -                            | -                |
| <b>At 31 December 2023</b>              | <b>-</b>       | <b>8,636</b>      | <b>391,527</b>             | <b>151,334</b>                   | <b>282,151</b>                 | <b>251,241</b>               | <b>1,084,889</b> |
| Net book amount                         |                |                   |                            |                                  |                                |                              |                  |
| <b>At 31 December 2023</b>              | <b>100,000</b> | <b>179,695</b>    | <b>103,377</b>             | <b>62,298</b>                    | <b>36,371</b>                  | <b>168,833</b>               | <b>650,574</b>   |
| <b>At 31 December 2022</b>              | <b>100,000</b> | <b>180,598</b>    | <b>122,114</b>             | <b>65,782</b>                    | <b>39,484</b>                  | <b>176,798</b>               | <b>684,777</b>   |

| <b>Property and equipment</b>           | Land           | Building<br>N'000 | Motor<br>Vehicles<br>N'000 | Furniture<br>& Fittings<br>N'000 | Computer<br>Equipment<br>N'000 | Office<br>Equipment<br>N'000 | Total<br>N'000   |
|-----------------------------------------|----------------|-------------------|----------------------------|----------------------------------|--------------------------------|------------------------------|------------------|
| <b>Cost</b>                             |                |                   |                            |                                  |                                |                              |                  |
| At 1 January 2023                       | 100,000        | 188,331           | 436,753                    | 214,394                          | 306,263                        | 415,699                      | 1,661,441        |
| Additions                               | -              | -                 | -                          | -                                | 7,837                          | 5,212                        | 71,200           |
| Disposal                                | -              | -                 | -                          | (763)                            | 408                            | (1,341)                      | (1,696)          |
| Transfer from Investment Properties     | -              | -                 | -                          | -                                | -                              | -                            | -                |
| Derecognition                           | -              | -                 | -                          | -                                | -                              | -                            | -                |
| Revaluation                             | -              | -                 | -                          | -                                | -                              | -                            | -                |
| <b>At 31 December 2023</b>              | <b>100,000</b> | <b>188,331</b>    | <b>494,904</b>             | <b>213,632</b>                   | <b>314,508</b>                 | <b>419,570</b>               | <b>1,730,945</b> |
| <b>Depreciation</b>                     |                |                   |                            |                                  |                                |                              |                  |
| At 1 January 2023                       | -              | 4,331             | 307,490                    | 133,309                          | 244,263                        | 208,670                      | 898,063          |
| Charge for the year                     | -              | 3,401             | 65,301                     | 14,814                           | 30,937                         | 35,441                       | 149,894          |
| Disposal                                | -              | -                 | -                          | (273)                            | (176)                          | (1,339)                      | (1,788)          |
| Elimination of accum dep on revaluation | -              | -                 | -                          | -                                | -                              | -                            | -                |
| Revaluation                             | -              | -                 | -                          | -                                | -                              | -                            | -                |
| <b>At 31 December 2023</b>              | <b>-</b>       | <b>7,732</b>      | <b>372,790</b>             | <b>147,849</b>                   | <b>275,024</b>                 | <b>242,772</b>               | <b>1,046,168</b> |
| Net book amount                         |                |                   |                            |                                  |                                |                              |                  |
| <b>At 31 December 2023</b>              | <b>100,000</b> | <b>180,598</b>    | <b>122,114</b>             | <b>65,782</b>                    | <b>39,484</b>                  | <b>176,798</b>               | <b>684,777</b>   |
| <b>At 31 December 2022</b>              | <b>98,000</b>  | <b>169,669</b>    | <b>129,263</b>             | <b>80,186</b>                    | <b>62,000</b>                  | <b>207,027</b>               | <b>743,045</b>   |

**NOTES TO THE FINANCIAL STATEMENTS  
FOR THE PERIOD ENDED 31 MARCH 2024**

|                               | <b>Actual<br/>31-Mar-24<br/>N'000</b> | <b>Actual<br/>31-Dec-23<br/>N'000</b> |
|-------------------------------|---------------------------------------|---------------------------------------|
| <b>16 Right of Use Assets</b> |                                       |                                       |
| At 1 January                  | 123,953                               | 23,490                                |
| Additions                     |                                       | 195,935                               |
| Amortizations                 | (19,954)                              | (95,472)                              |
|                               | <b><u>103,999</u></b>                 | <b><u>123,953</u></b>                 |

**17 Statutory deposit**

This represents 10% of the regulatory minimum share capital deposited with the Central Bank of Nigeria in accordance with the requirement of section a(i) and section 10(3) of Insurance Act. Interest Income earned on this deposit is included in investment income

|                                                                                        | <b>Company<br/>Actual<br/>31-Mar-24<br/>N'000</b> | <b>Actual<br/>31-Dec-23<br/>N'000</b> |
|----------------------------------------------------------------------------------------|---------------------------------------------------|---------------------------------------|
| Statutory deposit                                                                      | <b><u>200,000</u></b>                             | <b><u>200,000</u></b>                 |
| Non-current                                                                            | <u>200,000</u>                                    | <u>200,000</u>                        |
| <b>18 Insurance contract liabilities</b>                                               |                                                   |                                       |
| <b>GROSS</b>                                                                           |                                                   |                                       |
| Outstanding claims (see note i)                                                        | 1,849,510                                         | 1,751,352                             |
| Unearned premiums (see note ii)                                                        | 425,365                                           | 527,031                               |
| Short term insurance contract - Claims incurred but not reported (IBNR) (see note iii) | 188,804                                           | 2,018,133                             |
| Liability on annuity fund (see note iv)                                                | 29,560,160                                        | 29,802,260                            |
| Liability on long term insurance contract - Life fund                                  | <u>4,288,589</u>                                  | <u>6,750,355</u>                      |
| <i>Total Insurance liabilities (Gross)</i>                                             | <b><u>36,312,428</u></b>                          | <b><u>40,849,131</u></b>              |
| Current                                                                                | (4,536,703)                                       | 967,077                               |
| Non-current                                                                            | <u>40,849,131</u>                                 | <u>39,882,054</u>                     |
|                                                                                        | <b><u>36,312,428</u></b>                          | <b><u>40,849,131</u></b>              |
| <b>Recoverable from reinsurers</b>                                                     |                                                   |                                       |
| Claims reported and loss adjustment expenses                                           | -                                                 | -                                     |
| Unearned premiums                                                                      | 17,070                                            | 17,070                                |
| IBNR on Short term insurance contract                                                  | <u>83,887</u>                                     | <u>83,887</u>                         |
| <i>Total reinsurers' share of insurance liabilities</i>                                | <b><u>100,957</u></b>                             | <b><u>100,957</u></b>                 |
| <b>NET</b>                                                                             |                                                   |                                       |
| Claims reported and loss adjustment expenses                                           | 1,849,510                                         | 1,751,352                             |
| Unearned premiums                                                                      | 408,295                                           | 509,961                               |
| Claims incurred but not reported on Short term insurance contract                      | 104,917                                           | 1,934,246                             |
| Liability on annuity fund                                                              | 29,560,160                                        | 29,802,260                            |
| Liability on long term insurance contract (Life fund )                                 | <u>4,288,589</u>                                  | <u>6,750,355</u>                      |
| <i>Total Insurance liabilities (Net)</i>                                               | <b><u>36,211,471</u></b>                          | <b><u>40,748,174</u></b>              |

**(i) The movement in outstanding claims during the year was as follows:**

|                                                           | <b>Company<br/>Actual<br/>31-Mar-24<br/>N'000</b> | <b>Actual<br/>31-Dec-23<br/>N'000</b> |
|-----------------------------------------------------------|---------------------------------------------------|---------------------------------------|
| At 1 January                                              | 1,751,352                                         | 976,098                               |
| Additions claims incurred during the period (see note 32) | 1,687,031                                         | 7,730,789                             |
| Exchange difference arising from translation              |                                                   |                                       |
| Claims paid during the period                             | <u>(1,588,872)</u>                                | <u>(6,955,536)</u>                    |
| At 31 December                                            | <b><u>1,849,510</u></b>                           | <b><u>1,751,352</u></b>               |

**Age of outstanding claims**

|                    |                         |                         |
|--------------------|-------------------------|-------------------------|
| 0 - 90 days        | -                       | -                       |
| 91- 180 days       | -                       | -                       |
| 181-270 days       | -                       | -                       |
| 271 -365 days      | 1,849,510               | 1,751,352               |
| 366 days and above | <u>-</u>                | <u>-</u>                |
|                    | <b><u>1,849,510</u></b> | <b><u>1,751,352</u></b> |

**NOTES TO THE FINANCIAL STATEMENTS  
FOR THE PERIOD ENDED 31 MARCH 2024**

(ii) The movement in unearned premium during the year was as follows:

|                        | Actual<br>31-Mar-24<br>N'000 | Company<br>Actual<br>31-Dec-23<br>N'000 |
|------------------------|------------------------------|-----------------------------------------|
| At 1 January           | 527,031                      | 391,976                                 |
| Change during the year | <u>(101,666)</u>             | <u>135,055</u>                          |
| At 31 December         | <u>425,365</u>               | <u>527,031</u>                          |

(iii) The movement in IBNR claims on Short term insurance during the year was as follows:

|                        | Actual<br>31-Mar-24<br>N'000 | Company<br>Actual<br>31-Dec-23<br>N'000 |
|------------------------|------------------------------|-----------------------------------------|
| At 1 January           | 2,018,133                    | 838,867                                 |
| Change during the year | <u>(1,829,329)</u>           | <u>1,179,266</u>                        |
| At 31 December         | <u>188,804</u>               | <u>2,018,133</u>                        |

(iv) The movement in annuity fund during the year was as follows:

|                        | Actual<br>31-Mar-24<br>N'000 | Company<br>Actual<br>31-Dec-23<br>N'000 |
|------------------------|------------------------------|-----------------------------------------|
| At 1 January           | 29,802,260                   | 29,903,761                              |
| Change during the year | <u>(242,100)</u>             | <u>(101,501)</u>                        |
| At 31 December         | <u>29,560,160</u>            | <u>29,802,260</u>                       |

(v) The movement in life fund contract (excluding annuity) during the year was as follows:

|                                      | Actual<br>31-Mar-24<br>N'000 | Company<br>Actual<br>31-Dec-23<br>N'000 |
|--------------------------------------|------------------------------|-----------------------------------------|
| At 1 January                         | 6,750,354                    | 7,771,350                               |
| Exchange difference from translation |                              |                                         |
| Change during the year               | <u>(2,461,766)</u>           | <u>(1,020,996)</u>                      |
| At 31 December                       | <u>4,288,588</u>             | <u>6,750,354</u>                        |

(vi) Insurance contract liabilities at the end of the period were as follows:

|                                                       | Actual<br>31-Mar-24<br>N'000 | Company<br>Actual<br>31-Dec-23<br>N'000 |
|-------------------------------------------------------|------------------------------|-----------------------------------------|
| Outstanding claims                                    | 1,849,510                    | 1,751,352                               |
| Unearned premiums                                     | 425,365                      | 527,031                                 |
| Short term insurance contract- IBNR                   | 188,804                      | 2,018,133                               |
| Liability on Annuity contract                         | 29,560,160                   | 29,802,260                              |
| Liability on long term insurance contract - Life fund | <u>4,288,588</u>             | <u>6,750,354</u>                        |
|                                                       | <u>36,312,427</u>            | <u>40,849,130</u>                       |

**NOTES TO THE FINANCIAL STATEMENTS  
FOR THE PERIOD ENDED 31 MARCH 2024**

**19 Investment contract liabilities**

The investment contract liabilities comprise interest-linked guaranteed investment funds. The movement in the investment contract liabilities is shown below:

|                                    | <b>Company</b>                        |                                       |
|------------------------------------|---------------------------------------|---------------------------------------|
|                                    | <b>Actual<br/>31-Mar-24<br/>N'000</b> | <b>Actual<br/>31-Dec-23<br/>N'000</b> |
| At 1 January                       | 2,919,134                             | 4,089,863                             |
| Deposits received during the year  | 672,867                               | 724,374                               |
| Deposits Admin. No longer required |                                       | -                                     |
| Withdrawals during the year        | (1,076,587)                           | (1,986,647)                           |
| Guaranteed interest in the year    | <u>22,690</u>                         | <u>91,545</u>                         |
| At 31 December                     | <u><u>2,538,104</u></u>               | <u><u>2,919,134</u></u>               |
| Non-current                        | <u><u>2,538,104</u></u>               | <u><u>2,919,134</u></u>               |

Investment contract liabilities consist of group deposit administered funds and account balance of policy holders under investment linked insurance funds. Movement in the relevant funds are detailed below

|                                                  | <b>Company</b>                        |                                       |
|--------------------------------------------------|---------------------------------------|---------------------------------------|
|                                                  | <b>Actual<br/>31-Mar-24<br/>N'000</b> | <b>Actual<br/>31-Dec-23<br/>N'000</b> |
| <b>19.1 Liabilities on administered deposits</b> |                                       |                                       |
| At 1 January                                     | 116,294                               | 103,948                               |
| Deposits received during the year                | -                                     | 3,810                                 |
| Deposit Adm. No longer required                  |                                       |                                       |
| Withdrawals during the year                      | -                                     | -                                     |
| Guaranteed interest in the year                  | <u>-</u>                              | <u>8,537</u>                          |
| At 31 December                                   | <u><u>116,294</u></u>                 | <u><u>116,294</u></u>                 |
| <b>19.2 Investment linked fund</b>               |                                       |                                       |
| At 1 January                                     | 2,802,840                             | 3,985,915                             |
| Deposits received during the year                | 672,867                               | 720,564                               |
| Withdrawals during the year                      | (1,076,587)                           | (1,986,647)                           |
| Guaranteed interest in the year                  | <u>22,690</u>                         | <u>83,008</u>                         |
| At 31 December                                   | <u><u>2,421,810</u></u>               | <u><u>2,802,840</u></u>               |
| <b>20 Trade payable</b>                          |                                       |                                       |
| Unallocated premium deposits                     | 1,930,087                             | 1,537,534                             |
| Due to co-insurance                              | 336                                   | -                                     |
| Due To/from Reinsurance                          | 164,021                               | 112,117                               |
| Trade creditors                                  | <u>15,920</u>                         | <u>336</u>                            |
|                                                  | <u><u>2,110,364</u></u>               | <u><u>1,649,987</u></u>               |
| Current                                          | <u><u>2,110,364</u></u>               | <u><u>1,649,987</u></u>               |

|            |                              |                         |                         |
|------------|------------------------------|-------------------------|-------------------------|
| <b>20i</b> | Unallocated premium deposits |                         |                         |
|            | At 1 January                 | 1,537,534               | 533,466                 |
|            | Movement during the year     | <u>392,554</u>          | <u>1,004,068</u>        |
|            | At 31 December               | <b><u>1,930,087</u></b> | <b><u>1,537,534</u></b> |

The amount represent premium deposits for which policy holders are yet to be identified due to inadequate information. The Company has already set up a committee to review it and make recommendations to management. Please see below the age analysis of the payables

| S/N | Age of Unallocated Premium Deposit | Company            |                    |
|-----|------------------------------------|--------------------|--------------------|
|     |                                    | 31-Mar-24<br>N'000 | 31-Dec-23<br>N'000 |
| 1   | 0 - 90 days                        | -                  | -                  |
| 2   | 91- 180 days                       | -                  | -                  |
| 3   | 181-270 days                       | -                  | -                  |
| 4   | 271 -365 days                      | 1,930,087          | 1,537,534          |
| 5   | 366 days and above                 | -                  | -                  |
|     |                                    | <u>1,930,087</u>   | <u>1,537,534</u>   |

|                                          | Company                      |                              |
|------------------------------------------|------------------------------|------------------------------|
|                                          | Actual<br>31-Mar-24<br>N'000 | Actual<br>31-Dec-23<br>N'000 |
| <b>21 Other payables and accruals</b>    |                              |                              |
| Agent savings                            | 170,601                      | 169,571                      |
| PAYE and other withholding taxes payable | 102,911                      | 123,771                      |
| Provisions and accruals                  | 23,131                       | 23,131                       |
| Rent receivable                          | 157,762                      | 154,878                      |
| Other creditors                          | <u>196,245</u>               | <u>140,199</u>               |
| Current (Payable within the period)      | <b><u>650,650</u></b>        | <b><u>611,549</u></b>        |

|                                           | Company                      |                              |
|-------------------------------------------|------------------------------|------------------------------|
|                                           | Actual<br>31-Mar-24<br>N'000 | Actual<br>31-Dec-23<br>N'000 |
| <b>22 Retirement benefit asset</b>        | <u>-</u>                     | <u>-</u>                     |
| <b>22i Retirement benefit liabilities</b> |                              |                              |
| Staff pension scheme                      | 9,041                        | 48,325                       |
| Staff defined benefit plan                | <u>-</u>                     | <u>-</u>                     |
|                                           | <b><u>9,041</u></b>          | <b><u>48,325</u></b>         |

|           |                                   | Company                      |                              |
|-----------|-----------------------------------|------------------------------|------------------------------|
|           |                                   | Actual<br>31-Mar-24<br>N'000 | Actual<br>31-Dec-23<br>N'000 |
| <b>23</b> | <b>Borrowings</b>                 |                              |                              |
|           | <i>Secured -at amortised cost</i> |                              |                              |
|           | Overdraft Facility                | -                            | -                            |
|           | Term Loan (i)                     | -                            | -                            |
|           |                                   | <u>-</u>                     | <u>-</u>                     |

- (i) Term loan represents a cash backed loan facility of N80million granted by First bank, the facility has a tenor of 24 months at an interest rate of 5%

|             |                                                       | Company                      |                              |
|-------------|-------------------------------------------------------|------------------------------|------------------------------|
|             |                                                       | Actual<br>31-Mar-24<br>N'000 | Actual<br>31-Dec-23<br>N'000 |
| <b>(ii)</b> | <b>Movement in overdraft facility &amp; Term Loan</b> |                              |                              |
|             | At 1 January                                          | -                            | 22,444                       |
|             | Additions                                             | -                            | -                            |
|             | Interest expense                                      | -                            | -                            |
|             | Repayment                                             | -                            | (22,444)                     |
|             |                                                       | <u>-</u>                     | <u>(22,444)</u>              |
|             | At 31 December                                        | <u>-</u>                     | <u>-</u>                     |

|           |                                    | Company                      |                              |
|-----------|------------------------------------|------------------------------|------------------------------|
|           |                                    | Actual<br>31-Mar-24<br>N'000 | Actual<br>31-Dec-23<br>N'000 |
| <b>24</b> | <b>Tax payable</b>                 |                              |                              |
|           | <i>Company income tax payable:</i> |                              |                              |
|           | At 1 January                       | 561,864                      | 558,186                      |
|           | Charge to profit and loss          | 4,410                        | 3,678                        |
|           |                                    | -                            | -                            |
|           | Tax paid in the year               | -                            | -                            |
|           |                                    | <u>-</u>                     | <u>-</u>                     |
|           | At 31 December                     | <u><b>566,274</b></u>        | <u><b>561,864</b></u>        |
|           | Current                            | <u>566,274</u>               | <u>561,864</u>               |

**NOTES TO THE FINANCIAL STATEMENTS  
FOR THE PERIOD ENDED 31 MARCH 2024**

|            |                                                                                                                                                                                                                                                             |                                                   |                                        |
|------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------|----------------------------------------|
| <b>25</b>  | <b>Deferred tax liability</b>                                                                                                                                                                                                                               | <b>Company<br/>Actual<br/>31-Mar-24<br/>N'000</b> | <b>Actual<br/>31-Dec-23<br/>N'000</b>  |
|            | The analysis of deferred tax liabilities is as follows:                                                                                                                                                                                                     |                                                   |                                        |
|            | Deferred tax liability to be incurred within 12 months                                                                                                                                                                                                      | 99,993                                            | 92,107                                 |
|            |                                                                                                                                                                                                                                                             | <u>99,993</u>                                     | <u>92,107</u>                          |
|            | The movement on the deferred tax liabilities account is as follows:                                                                                                                                                                                         |                                                   |                                        |
| <b>25a</b> | At 1 January                                                                                                                                                                                                                                                | 92,107                                            | 92,107                                 |
|            | Tax charge recognised in other comprehensive income                                                                                                                                                                                                         | -                                                 | -                                      |
|            | Transfer of liabilities upon liquidation of subsidiaries                                                                                                                                                                                                    | -                                                 | -                                      |
|            | Foreign exchange difference arising from translation                                                                                                                                                                                                        | -                                                 | -                                      |
|            | Income statement charge                                                                                                                                                                                                                                     | -                                                 | -                                      |
|            | At 31 December                                                                                                                                                                                                                                              | <u>99,993</u>                                     | <u>92,107</u>                          |
|            | Non- current                                                                                                                                                                                                                                                | <u>99,993</u>                                     | <u>92,107</u>                          |
| <b>25b</b> | <b>Deferred tax asset</b>                                                                                                                                                                                                                                   |                                                   |                                        |
|            | The movement on the deferred tax asset account is as follows:                                                                                                                                                                                               |                                                   |                                        |
|            | At 1 January                                                                                                                                                                                                                                                | 146,476                                           | 146,476                                |
|            | Exch                                                                                                                                                                                                                                                        | -                                                 | -                                      |
|            | Foreign exchange difference arising from translation                                                                                                                                                                                                        | -                                                 | -                                      |
|            | Income statement charge                                                                                                                                                                                                                                     | -                                                 | -                                      |
|            | At 31 December                                                                                                                                                                                                                                              | <u>146,476</u>                                    | <u>146,476</u>                         |
|            | Non- current                                                                                                                                                                                                                                                | <u>146,476</u>                                    | <u>146,476</u>                         |
| <b>26</b>  | <b>Share capital</b>                                                                                                                                                                                                                                        | <b>Actual<br/>31-Mar-24<br/>Number</b>            | <b>Actual<br/>31-Dec-23<br/>Number</b> |
|            | <i>Ordinary Shares</i>                                                                                                                                                                                                                                      |                                                   |                                        |
| <b>26a</b> | Authorised share capital ('000)                                                                                                                                                                                                                             | <u>30,000,000</u>                                 | <u>30,000,000</u>                      |
|            |                                                                                                                                                                                                                                                             | <b>N'000</b>                                      | <b>N'000</b>                           |
|            | Paid up share capital of 20.585 billion ordinary shares of 50 kobo each                                                                                                                                                                                     | 10,292,500                                        | 10,292,500                             |
| <b>26b</b> | Paid up/(Cancelled) during the year                                                                                                                                                                                                                         | -                                                 | -                                      |
|            | At 31 December                                                                                                                                                                                                                                              | <u>10,292,500</u>                                 | <u>10,292,500</u>                      |
|            | <i>Number of shares</i>                                                                                                                                                                                                                                     | <b>31-Mar-24</b>                                  | <b>31-Dec-23</b>                       |
|            | Shares at the beginning of the year('000)                                                                                                                                                                                                                   | 20,585,000                                        | 20,585,000                             |
|            | Paid up/(Cancelled) during the year ('000):                                                                                                                                                                                                                 | -                                                 | -                                      |
|            | At 31 December                                                                                                                                                                                                                                              | <u>20,585,000</u>                                 | <u>20,585,000</u>                      |
| <b>26c</b> | <b>Share premium</b>                                                                                                                                                                                                                                        | <b>Company<br/>Actual<br/>31-Mar-24<br/>N'000</b> | <b>Actual<br/>31-Dec-23<br/>N'000</b>  |
|            | At 1 January                                                                                                                                                                                                                                                | 14,365,133                                        | 14,365,133                             |
|            | Share Premium cancellation                                                                                                                                                                                                                                  | -                                                 | -                                      |
|            | Capital Restructuring account                                                                                                                                                                                                                               | -                                                 | -                                      |
|            | At 31 December                                                                                                                                                                                                                                              | <u>14,365,133</u>                                 | <u>14,365,133</u>                      |
| <b>27</b>  | <b>Contingency reserves</b>                                                                                                                                                                                                                                 |                                                   |                                        |
|            | At 1 January                                                                                                                                                                                                                                                | 1,983,878                                         | 1,922,694                              |
|            | Transfer from retained earnings                                                                                                                                                                                                                             | 274,780                                           | 61,183                                 |
|            | At 31 December                                                                                                                                                                                                                                              | <u>2,258,657</u>                                  | <u>1,983,878</u>                       |
|            | In accordance with the insurance act, a contingency reserve is credited with the greater of 1% of total premiums or 10% of net profit. This shall accumulate until it reaches the amount of greater of minimum paid-up capital or 50 percent of net premium |                                                   |                                        |
| <b>28</b>  | <b>Retained earnings</b>                                                                                                                                                                                                                                    | <b>Company<br/>Actual<br/>31-Mar-24<br/>N'000</b> | <b>Actual<br/>31-Dec-23<br/>N'000</b>  |
|            | At 1 January                                                                                                                                                                                                                                                | (40,010,618)                                      | (37,457,336)                           |
|            | Transfer to contingency reserves                                                                                                                                                                                                                            | (274,780)                                         | (61,183)                               |
|            | Profit/(Loss) for the period                                                                                                                                                                                                                                | <u>2,743,386</u>                                  | <u>(2,492,099)</u>                     |
|            | At 31 December                                                                                                                                                                                                                                              | <u>(37,542,012)</u>                               | <u>(40,010,618)</u>                    |

**NOTES TO THE FINANCIAL STATEMENTS  
FOR THE PERIOD ENDED 31 MARCH 2024**

| <b>29 Fair value reserves</b>                               | <b>Actual<br/>31-Mar-24<br/>N'000</b> | <b>Company<br/>Actual<br/>31-Dec-23<br/>N'000</b> |
|-------------------------------------------------------------|---------------------------------------|---------------------------------------------------|
| At 1 January                                                | 15,398,382                            | 15,398,382                                        |
| Gain/(Derecognition) on revaluation<br>on land and building |                                       | -                                                 |
| Change in value of FVOCI financial<br>assets (net of taxes) |                                       | -                                                 |
| Additional reserve on repurchase of PAL Pension Limited     | -                                     | -                                                 |
|                                                             |                                       |                                                   |
| At 31 December                                              | <u>15,398,382</u>                     | <u>15,398,382</u>                                 |

| <b>29a Fair value changes-statement of comprehensive income</b>          | <b>Actual<br/>31-Mar-24<br/>N'000</b> | <b>Company<br/>Actual<br/>31-Dec-23<br/>N'000</b> |
|--------------------------------------------------------------------------|---------------------------------------|---------------------------------------------------|
| Gain/(Derecognition) on revaluation<br>on land and building              | -                                     | -                                                 |
| Change in value of available for sale<br>financial assets (net of taxes) | -                                     | -                                                 |
| Additional reserve on repurchase of PAL Pension Limited                  | -                                     | -                                                 |
|                                                                          |                                       |                                                   |
|                                                                          | <u>-</u>                              | <u>-</u>                                          |

|                                                     | <b>Actual<br/>31-Mar-24<br/>N'000</b> | <b>Company<br/>Actual<br/>31-Mar-23<br/>N'000</b> |
|-----------------------------------------------------|---------------------------------------|---------------------------------------------------|
| <b>30 Gross premium income</b>                      |                                       |                                                   |
| Individual life                                     | 493,713                               | 705,799                                           |
| Group life                                          | 570,928                               | 893,985                                           |
| Annuity                                             | 2,095                                 | 18,114                                            |
| Takaful                                             | 155,338                               | 167,384                                           |
| Esusu                                               | 228,820                               | 91,264                                            |
| <b>Gross premium written</b>                        | <u><b>1,450,894</b></u>               | <u><b>1,876,546</b></u>                           |
| <b>Unearned premium</b>                             |                                       |                                                   |
| Group life                                          | 101,666                               | (5,919)                                           |
|                                                     | <u><b>1,552,561</b></u>               | <u><b>1,870,627</b></u>                           |
| <b>31 Insurance premium ceded to<br/>reinsurers</b> |                                       |                                                   |
| Gross reinsurance expense                           | (97,506)                              | (66,302)                                          |
| Changes in prepaid reinsurance                      | -                                     | -                                                 |
|                                                     | <u><b>(97,506)</b></u>                | <u><b>(66,302)</b></u>                            |
| <b>32 Fees and commission income</b>                |                                       |                                                   |
| Group Life                                          | (662)                                 | 19,138                                            |
| Individual Life                                     | 662                                   | -                                                 |
|                                                     | <u>-</u>                              | <u><b>19,138</b></u>                              |

Fee income represents commission received in direct business and transactions ceded to reinsurance companies during the year under review

**NOTES TO THE FINANCIAL STATEMENTS  
FOR THE PERIOD ENDED 31 MARCH 2024**

**33 Insurance claims and loss adjustment expenses**

**Insurance claims and loss adjustment expenses**

| Company                                                     | 31-Mar-24              |                      |                        |
|-------------------------------------------------------------|------------------------|----------------------|------------------------|
|                                                             | N'000<br>Gross         | N'000<br>Reinsurance | N'000<br>Net           |
| Individual life                                             | 311,758                | -                    | 311,758                |
| Group life                                                  | 129,312                | -                    | 129,312                |
| Annuity                                                     | 980,961                | -                    | 980,961                |
| Takaful                                                     | 87,877                 | -                    | 87,877                 |
| Esusu                                                       | 78,964                 | -                    | 78,964                 |
|                                                             | <u>1,588,872</u>       | <u>-</u>             | <u>1,588,872</u>       |
| Increase in the expected cost of claims for unexpired risks | 98,158                 | -                    | 98,158                 |
| Claims incurred during the year                             | 1,687,031              | -                    | 1,687,031              |
| IBNR on Short term insurance contract                       | <u>(1,829,329)</u>     | <u>-</u>             | <u>(1,829,329)</u>     |
|                                                             | <b><u>-142,299</u></b> | <b><u>-</u></b>      | <b><u>-142,299</u></b> |

**Insurance claims and loss adjustment expenses**

|                                       | 31-Mar-23               |                      |                         |
|---------------------------------------|-------------------------|----------------------|-------------------------|
|                                       | N'000<br>Gross          | N'000<br>Reinsurance | N'000<br>Net            |
| Individual life                       | 413,552                 | -                    | 413,552                 |
| Group life                            | 165,610                 | -                    | 165,610                 |
| Annuity                               | 1,023,119               | -                    | 1,023,119               |
| Takaful                               | 95,270                  | -                    | 95,270                  |
| Esusu                                 | <u>237,441</u>          | <u>-</u>             | <u>237,441</u>          |
| Claims paid during the year           | 1,934,992               | -                    | 1,934,992               |
| Changes in outstanding claims         | <u>309,169</u>          | <u>-</u>             | <u>309,169</u>          |
| Claims incurred during the period     | 2,244,161               | -                    | 2,244,161               |
| IBNR on Short term insurance contract | <u>(1,010,204)</u>      | <u>-</u>             | <u>(1,010,204)</u>      |
|                                       | <b><u>1,233,957</u></b> | <b><u>-</u></b>      | <b><u>1,233,957</u></b> |

**34 Underwriting expenses**

|                  | Company               |                       |
|------------------|-----------------------|-----------------------|
|                  | Actual<br>31-Mar-24   | Actual<br>31-Mar-23   |
|                  | N'000                 | N'000                 |
| Acquisition cost | 87,460                | 202,430               |
| Maintenance cost | 52,271                | 175,466               |
|                  | <b><u>139,731</u></b> | <b><u>377,896</u></b> |

**NOTES TO THE FINANCIAL STATEMENTS  
FOR THE PERIOD ENDED 31 MARCH 2024**

|           |                                                        | <b>Company</b>   |                  |
|-----------|--------------------------------------------------------|------------------|------------------|
|           |                                                        | <b>Actual</b>    | <b>Actual</b>    |
|           |                                                        | <b>31-Mar-24</b> | <b>31-Mar-23</b> |
|           |                                                        | <b>N'000</b>     | <b>N'000</b>     |
| <b>35</b> | <b>Changes in long term insurance contracts</b>        |                  |                  |
|           | Changes in annuity fund                                | 242,100          | 1,000,000        |
|           | Changes in individual life fund excluding annuity      | 2,461,766        | 204,959          |
|           |                                                        | <b>2,703,866</b> | <b>1,204,959</b> |
| <b>36</b> | <b>Other income</b>                                    |                  |                  |
|           | Rental income                                          | 17,216           | 20,818           |
|           | Gain upon disposal of investment properties            | -                | -                |
|           | Gain on disposal of PPE                                | -                | 213              |
|           | Gain on disposal of equities                           | -                | -                |
|           | Sundry charges on investment linked products           | -                | -                |
|           | Foreign exchange gain/(loss)                           | 168,906          | 10,398           |
|           | Disposal of investment                                 | -                | 8,448            |
|           | Sundry( loss)/ income                                  | 26               | 56               |
|           |                                                        | <b>186,148</b>   | <b>39,933</b>    |
| <b>37</b> | <b>Fair value gain/(loss) on financial asset</b>       |                  |                  |
|           |                                                        |                  |                  |
|           |                                                        | <b>Actual</b>    | <b>Actual</b>    |
|           |                                                        | <b>31-Mar-24</b> | <b>31-Mar-23</b> |
|           |                                                        | <b>N'000</b>     | <b>N'000</b>     |
|           | Bonds                                                  | (308,781)        | (336,963)        |
|           | Quoted equities                                        | (174,083)        | 843              |
|           |                                                        | <b>(482,865)</b> | <b>(336,120)</b> |
| <b>38</b> | <b>Investment income</b>                               |                  |                  |
|           |                                                        |                  |                  |
|           |                                                        | <b>Company</b>   |                  |
|           |                                                        | <b>Actual</b>    | <b>Actual</b>    |
|           |                                                        | <b>31-Mar-24</b> | <b>31-Mar-23</b> |
|           |                                                        | <b>N'000</b>     | <b>N'000</b>     |
|           | Interest income on cash and bank balances              | 776              | 8,369            |
|           | Interest income on bonds                               | (609,430)        | 136,054          |
|           | Investment income on planned asset                     | -                | -                |
|           | Dividend Income                                        | -                | -                |
|           | Interest income on statutory deposit                   | 7,458            | -                |
|           | Interest income on loans and receivables               | 230              | 714              |
|           |                                                        | <b>(600,965)</b> | <b>145,137</b>   |
| <b>39</b> | <b>Profit/(Loss) from investment contract:</b>         |                  |                  |
|           | Investment income from investment contract liabilities | 2                | 42               |
|           | Deposit administration no longer required              |                  |                  |
|           | Guaranteed interest                                    | (22,690)         | (62,207)         |
|           |                                                        | <b>(22,688)</b>  | <b>(62,165)</b>  |
| <b>40</b> | <b>Impairment on assets</b>                            |                  |                  |
|           |                                                        |                  |                  |
|           |                                                        | <b>Company</b>   |                  |
|           |                                                        | <b>Actual</b>    | <b>Actual</b>    |
|           |                                                        | <b>31-Mar-24</b> | <b>31-Mar-23</b> |
|           |                                                        | <b>N'000</b>     | <b>N'000</b>     |
|           | Provision on due from related party no longer required | -                | -                |
|           | Mortgage and policy loans                              | -                | -                |
|           | Cash & cash equivalent                                 | -                | -                |
|           | Investment securities                                  | -                | -                |
|           | Unquoted equities                                      | -                | -                |
|           | Staff account receivables                              | -                | -                |
|           | Other receivables                                      | -                | -                |
|           | Short term loan                                        | -                | -                |
|           |                                                        | <b>-</b>         | <b>-</b>         |

**NOTES TO THE FINANCIAL STATEMENTS  
FOR THE PERIOD ENDED 31 MARCH 2024**

**41 Employee benefit expenses**

|                                    | Company             |                     |
|------------------------------------|---------------------|---------------------|
|                                    | Actual<br>31-Mar-24 | Actual<br>31-Mar-23 |
|                                    | N'000               | N'000               |
| Wages and salaries                 | 137,453             | 159,149             |
| Other Staff Cost                   | 38,222              | 35,974              |
| Defined contribution pension costs | 10,967              | 11,447              |
| Defined benefit pension cost       | -                   | -                   |
|                                    | <u>186,641</u>      | <u>206,570</u>      |

**42 Other operating and administrative expenses**

|                                       | Company             |                     |
|---------------------------------------|---------------------|---------------------|
|                                       | Actual<br>31-Mar-24 | Actual<br>31-Mar-23 |
|                                       | N'000               | N'000               |
| Directors' emoluments                 | 8,775               | -                   |
| Other Director Costs                  | -                   | -                   |
| Bank Charges                          | 1,332               | 3,619               |
| Auditors' remuneration                | -                   | -                   |
| Depreciation                          | 38,721              | 36,358              |
| Amortisation on Rights of Use assets  | 19,954              | 15,662              |
| Amortisation                          | 3,189               | 3,503               |
| NITDA                                 | -                   | -                   |
| Consultancy expenses                  | 34,684              | 43,852              |
| Security                              | 5,420               | 3,382               |
| Rent and rates                        | 4,987               | 7,475               |
| General maintenance and running costs | 67,439              | 34,558              |
| Advert and Publicity                  | 14,668              | 6,740               |
| Telecommunications                    | 4,371               | 4,018               |
| Dues and Subscription                 | 1,239               | 602                 |
| Travels and accommodation             | 12,587              | 49,780              |
| Insurance supervision fees            | -                   | -                   |
| Insurance expenses                    | 17,208              | 11,495              |
| Printing and stationeries             | 277                 | 271                 |
| Industrial training fund              | 7,725               | -                   |
| Entertainment                         | 4,318               | 1,237               |
| Regulatory levies                     | -                   | 3,776               |
| Loss on Disposal of investment        | 12,116              | -                   |
| Foreign exchange loss                 | -                   | -                   |
| Nigeria Police Levy                   | -                   | -                   |
| Leasehold Amortization                | -                   | 5,278               |
| Office ICT expenses                   | 34,051              | 41,528              |
| Donation                              | -                   | -                   |
| Office cleaning expenses              | 2,800               | 7,861               |
| Medical expenses                      | -                   | -                   |
| Other regulatory fees and fines       | -                   | -                   |
| Other Administrative Expenses         | 13,813              | 33,027              |
|                                       | <u>309,676</u>      | <u>314,022</u>      |

**43 ECL Allowance on cash and cash equivalents and Financial A**

|                         | Company             |                     |
|-------------------------|---------------------|---------------------|
|                         | Actual<br>31-Mar-24 | Actual<br>31-Mar-23 |
|                         | N'000               | N'000               |
| Cash & Cash Equivalents | (2,978)             | (17,751)            |
| Amortised Cost-bonds    | -                   | -                   |
| Agency Loans            | (1,169)             | 4,011               |
| Loans and Receivables   | 189                 | (3,080)             |
|                         | <u>(2,995)</u>      | <u>(16,820)</u>     |

**44 Finance cost**

|                                | Company             |                     |
|--------------------------------|---------------------|---------------------|
|                                | Actual<br>31-Mar-24 | Actual<br>31-Mar-23 |
|                                | N'000               | N'000               |
| Interest expense on borrowings | -                   | -                   |

**45 Income tax expense**

|                                               | Company             |                     |
|-----------------------------------------------|---------------------|---------------------|
|                                               | Actual<br>31-Mar-24 | Actual<br>31-Mar-23 |
|                                               | N'000               | N'000               |
| Current tax on profits for the year (note 24) | 4,410               | 8,637               |
| Capital gains tax                             | -                   | -                   |
| Deferred tax charge for the year              | -                   | -                   |
|                                               | <u>4,410</u>        | <u>8,637</u>        |